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3QFY26 earnings review

Steady earnings momentum with low risk to near-term estimates

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3QFY26 aggregate adjusted earnings increased 12.4% y-y, supported by multi-quarter high sales growth

We evaluate the 3QFY26 earnings trend for 255 companies (BSE 200 + our coverage universe). The aggregate PAT growth for this universe was at 7.8% y-y. The earnings in the quarter were adversely impacted by the charges provided under the new labour code. We estimate that adjusted for the same, earnings growth was at 12.4% y-y, sustaining the double-digit growth recorded in the recent past. Ex commodities, telecom and financials, the earnings growth at 15% y-y was the highest in the past seven quarters. The aggregate adjusted earnings were 4% ahead of consensus estimates. For most sectors, the adjusted earnings were ahead of consensus expectations, with misses recorded in metals, NBFCs, IT services and chemicals. The earnings growth for the quarter was supported by strong revenue growth (ex-financials) at 10% y-y which was at an 11-quarter high, in our view, and EBITDA margins held steady. Sales growth was particularly strong for autos, capital goods and durables, and was relatively muted for IT services and staples. Through the results season (since January 2026), aggregate consensus earnings for FY27/28E was raised by 0.6%/0.7%. Sectors with earnings upgrades are metals, financials, autos and IT services. Earnings were lowered for staples, chemicals, consumer discretionary, capital goods/defense, cement.

Low risk to near-term earnings estimates

The consensus estimates collated for 250+ companies suggest FY27/28E earnings growth expectations at 16%/14%. We see low risk to near-term consensus earnings estimates. The earnings are supported by a recovery in the nominal GDP growth in FY27E, cyclical recovery in private capex, potential revival in exports and sustained momentum in consumption in the near-term. The private sector capex has remained subdued in the past two-three years, with the capex-to-depreciation ratio (~400 companies) at historical lows except for FY20-21 (pandemic period). Commentaries from companies suggest a potential recovery in capex in the near term. The exports to the US will gain from lower tariffs (15% on non-exempted goods vs. 50% earlier) and uncertainties on future tariff rates can drive near-term demand from customers, in our view. The key risk to earnings estimates are a rise in commodity prices and deflationary pressure on IT services. Despite these headwinds, we see limited risks to current consensus estimates.

The Indian market has continued to underperform global peers. YTD, Nifty is down 3% (in USD terms). The drawdown in Nifty is largely driven by IT services (down 15%). The AI-related disruptions have raised market concerns on deflationary pressures on IT services companies. We aren't that bearish on the outlook, and think the concerns are premature and overdone. We expect IT companies to realign and gain from new business opportunities (refer to our report here). With these assumptions, we think the risk reward is favorable and retain our positive view. We are also positive on financials, cement, consumer discretionary, auto ancillaries, telecom, pharmaceuticals. We maintain our Dec-2026 Nifty target of 29,300, based on an unchanged 21x Dec 2027 EPS (refer to our outlook note).

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

3QFY26 earnings review

Fig. 1: 3QFY26 PAT (in INR mn) and y-y/q-q growth

The assessed universe of companies recorded 7.8% earnings growth y-y. Oil and gas, and banks were the largest contributors of 3QFY26 aggregate PAT growth. Excluding financials, telecom and commodity-based sectors, 3QFY26 PAT growth was at 6.2% y-y

# of companies	Sector	Q3FY25	2QFY26	3QFY26	y-y%	q-q %	3QFY26 yy% growth contribution
26	Consumer Discretionary/Durables	80,776	84,979	91,210	12.9%	7.3%	3.9%
22	Capital Goods/Defense	93,032	115,123	114,329	22.9%	-0.7%	7.9%
13	Div Fin	67,130	103,820	83,590	24.5%	-19.5%	6.1%
7	Cement	47,347	43,656	31,694	-33.1%	-27.4%	-5.8%
11	Power/Coal	227,310	195,459	211,890	-6.8%	8.4%	-5.7%
10	Infrastructure	47,858	82,958	101,010	111.1%	21.8%	19.8%
6	Transport Logistics	58,643	15,521	47,910	-18.3%	208.7%	-4.0%
22	Autos	168,207	200,045	201,433	19.8%	0.7%	12.4%
22	Healthcare	132,330	154,208	138,101	4.4%	-10.4%	2.2%
14	Oil and Gas	447,883	524,596	569,550	27.2%	8.6%	45.4%
20	Banks	861,800	911,210	946,860	9.9%	3.9%	31.7%
12	Consumer Staples/FMCG	133,050	127,466	133,220	0.1%	4.5%	0.1%
14	NBFCs	223,190	239,600	243,264	9.0%	1.5%	7.5%
5	Telecom	126,660	37,087	39,560	-68.8%	6.7%	-32.5%
6	Chemicals	19,541	31,500	15,980	-18.2%	-49.3%	-1.3%
14	IT Services	361,227	374,789	342,932	-5.1%	-8.5%	-6.8%
6	Internet/Media	(100)	41,950	(1,270)	NA	NA	NA
8	Real estate	32,330	40,940	36,580	13.1%	-10.6%	1.6%
7	Insurance	147,490	149,851	167,006	13.2%	11.4%	7.3%
10	Metals/ Mining	165,500	200,298	194,580	17.6%	-2.9%	10.8%
255	**Total**	**3,441,204**	**3,675,054**	**3,709,428**	**7.8%**	**0.9%**	
218	**Total ex-commodity**	**2,760,933**	**2,875,005**	**2,897,624**	**5.0%**	**0.8%**	
213	**Total ex-commodities ex telecom**	**2,634,273**	**2,837,918**	**2,858,064**	**8.5%**	**0.7%**	
159	**Total ex-fin ex-commodities ex telecom**	**1,334,663**	**1,433,437**	**1,417,344**	**6.2%**	**-1.1%**	

Note:
Source: Bloomberg Finance L.P., Nomura research

Fig. 2: 3QFY26 PAT (in INR mn) and y-y/q-q growth - Labour code adjusted

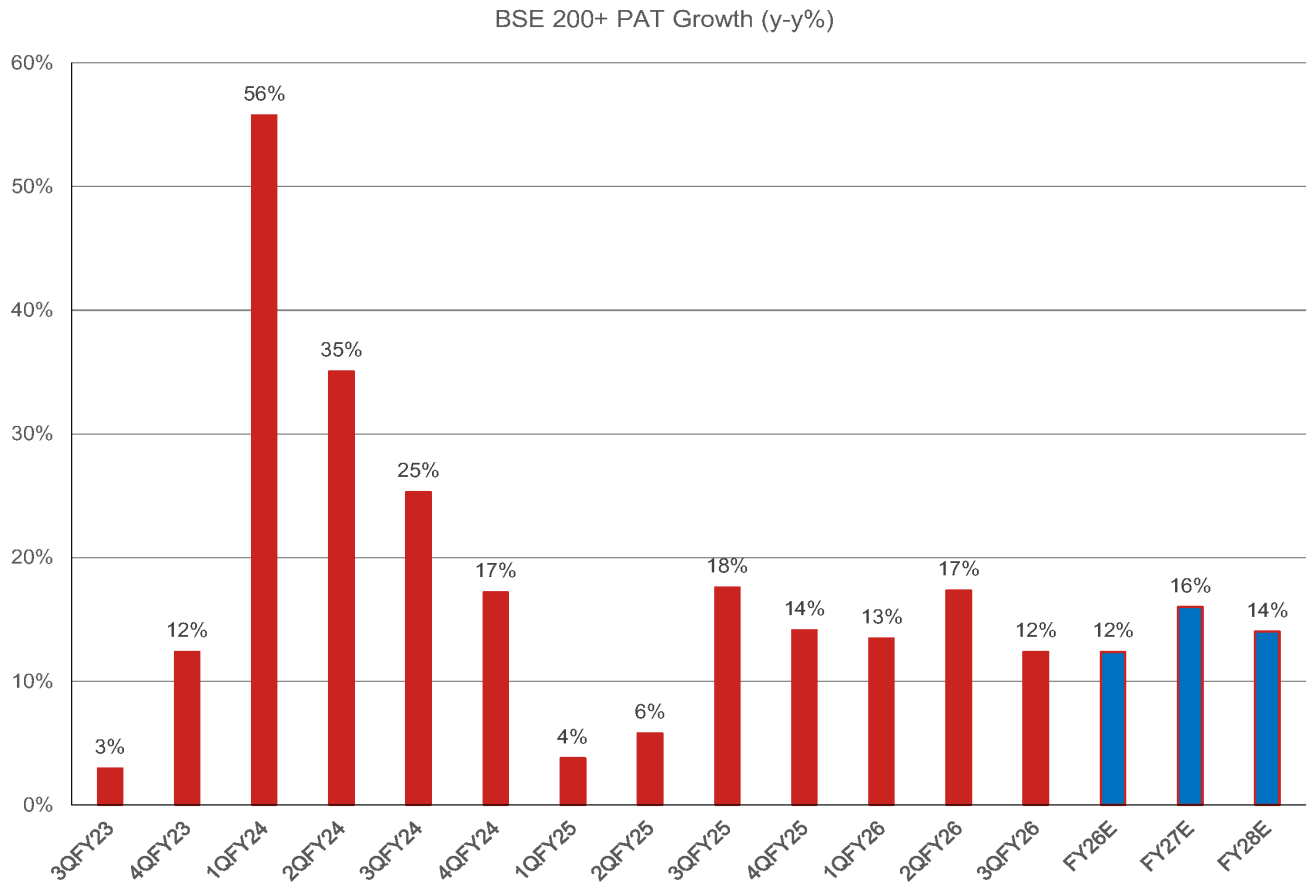
The companies provided for the liabilities under the new labour code. We estimate that adjusted for the impact of one-time provisions on account of the new labour code, the assessed universe of companies reported 12.4% earnings growth y-y. Earnings growth was strong at mid-teen and higher for metals, autos, cap goods/defense, oil/gas, consumer discretionary, infrastructure, healthcare. IT services and consumer staple companies recorded relatively slower y-y growth in single-digit in 3QFY26.

# of companies	Sector	Q3FY25	2QFY26	3QFY26	y-y%	q-q %	3QFY26 yy% growth contribution
26	Consumer Discretionary/Durables	80,776	84,979	97,417	20.6%	14.6%	3.9%
22	Capital Goods/Defense	93,032	115,123	118,847	27.7%	3.2%	6.1%
13	Div Fin	67,130	103,820	88,158	31.3%	-15.1%	4.9%
7	Cement	47,347	43,656	33,928	-28.3%	-22.3%	-3.1%
11	Power/Coal	227,310	195,459	213,419	-6.1%	9.2%	-3.3%
10	Infrastructure	47,858	82,958	112,671	135.4%	35.8%	15.2%
6	Transport Logistics	58,643	15,521	55,711	-5.0%	258.9%	-0.7%
22	Autos	168,207	200,045	216,223	28.5%	8.1%	11.3%
22	Healthcare	132,330	154,208	152,391	15.2%	-1.2%	4.7%
14	Oil and Gas	447,883	524,596	573,844	28.1%	9.4%	29.6%
20	Banks	861,800	911,210	962,402	11.7%	5.6%	23.6%
12	Consumer Staples/FMCG	133,050	127,466	137,469	3.3%	7.8%	1.0%
14	NBFCs	223,190	239,600	248,815	11.5%	3.8%	6.0%
5	Telecom	126,660	37,087	43,249	-65.9%	16.6%	-19.6%
6	Chemicals	19,541	31,500	17,512	-10.4%	-44.4%	-0.5%
14	IT Services	361,227	374,789	387,550	7.3%	3.4%	6.2%
6	Internet/Media	(100)	41,950	(674)	NA	NA	NA
8	Real estate	32,330	40,940	37,676	16.5%	-8.0%	1.3%
7	Insurance	147,490	149,851	170,022	15.3%	13.5%	5.3%
10	Metals/ Mining	165,500	200,298	200,757	21.3%	0.2%	8.3%
255	**Total**	**3,441,204**	**3,675,054**	**3,867,388**	**12.4%**	**5.2%**	
218	**Total ex-commodity**	**2,760,933**	**2,875,005**	**3,041,346**	**10.2%**	**5.8%**	
213	**Total ex-commodity ex- telecom**	**2,634,273**	**2,837,918**	**2,998,096**	**13.8%**	**5.6%**	
159	**Total ex-fin ex-commodities ex telecom**	**1,334,663**	**1,433,437**	**1,528,700**	**14.5%**	**6.6%**	

Source: Bloomberg L.P., Nomura Research

Fig. 3: BSE200+ PAT growth (y-y%) – labour code adjusted

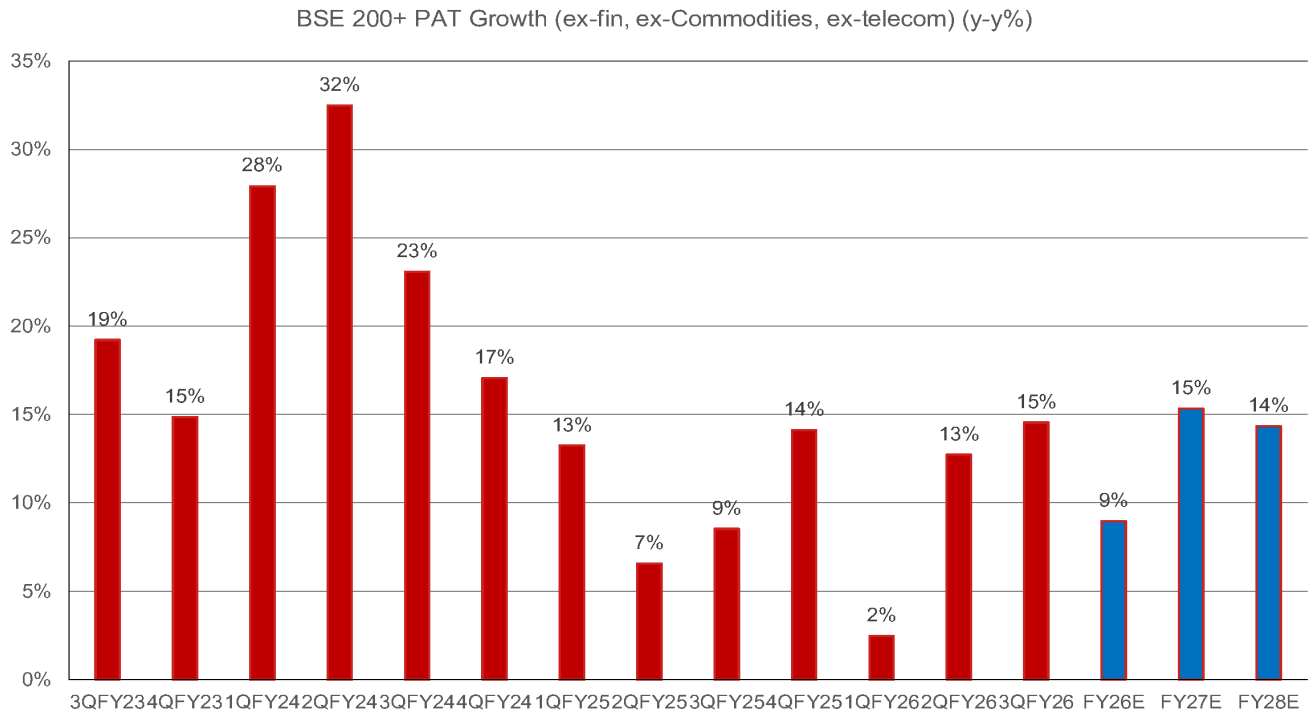
PAT growth was ~12% y-y for 3QFY26. The Street factors in earnings growth in midteens in FY27/28E



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 4: BSE200+ PAT growth y-y% (ex-financials, ex-commodities, ex-telecom)

Excluding financials, commodities and telecom (sectors with volatile earnings), 3QFY26 y-y PAT growth was at ~15%, the highest in the past seven quarters. The Street assumes earnings growth to sustain at current levels in FY27F/28E



Note: Based on consensus estimates

Source: Bloomberg Finance L.P., Nomura research

Fig. 5: BSE200+ PAT growth

FY27/28E consensus earnings growth is now estimated at ~16%/14% y-y. Financials, metals, autos, telecom, consumer discretionary are expected to maintain strong double-digit earnings growth. On the high base, earnings growth is expected to slow down in oil and gas. IT services earnings growth is also expected to remain in high single-digit because of deflationary pressures.

Companies considered	Sector	3QFY26 Contribution	3QFY25	4QFY25	1QFY26	2QFY26	3QFY26	FY26E	FY27E	FY28E	FY 26-28 CAGR	Contribution to FY 26-28E Grwoth
20	Banks	1%	21%	4%	3%	3%	10%	5%	15%	15%	15%	25%
10	Metals/ Mining	4%	14%	42%	22%	18%	18%	34%	35%	12%	23%	10%
14	NBFCs	0%	24%	14%	18%	17%	9%	14%	17%	15%	16%	7%
5	Telecom	4%	NA	NA	233%	NA	-69%	-30%	130%	50%	86%	7%
14	**IT Services**	2%	12%	4%	8%	7%	-5%	9%	10%	9%	9%	6%
22	Autos	6%	5%	4%	2%	13%	20%	17%	18%	15%	16%	6%
11	Power/Coal	1%	0%	13%	-7%	-9%	-7%	1%	13%	11%	12%	5%
13	Div Fin	1%	14%	-10%	89%	14%	25%	36%	27%	21%	24%	4%
22	Capital Goods/Defense	5%	24%	9%	31%	34%	23%	21%	19%	17%	18%	4%
7	Insurance	0%	18%	28%	12%	30%	13%	14%	12%	11%	12%	4%
22	Healthcare	2%	20%	28%	-1%	18%	4%	10%	11%	17%	14%	3%
14	Oil and Gas	3%	-4%	-2%	53%	41%	27%	30%	2%	5%	4%	3%
26	Consumer Discretionary/Durables	26%	15%	11%	5%	25%	13%	14%	20%	19%	20%	3%
10	Infrastructure	9%	-9%	72%	2%	42%	111%	9%	21%	19%	20%	3%
6	Transport Logistics	5%	-4%	49%	-5%	-34%	-18%	-2%	30%	18%	24%	2%
12	Consumer Staples/FMCG	5%	6%	29%	2%	2%	0%	3%	8%	12%	10%	2%
8	Real estate	1%	44%	-5%	8%	22%	13%	18%	27%	30%	29%	2%
7	Cement	7%	20%	8%	50%	172%	-33%	16%	29%	18%	23%	2%
6	Chemicals	15%	5929%	213%	93%	75%	-18%	38%	35%	25%	30%	1%
6	Internet/Media	3%	NA	NA	NA	1888%	NA	NA	NA	109%		
			3QFY25	4QFY25	1QFY26	2QFY26	3QFY26	FY26E	FY27E	FY28E		
255	**Total**		**18%**	**14%**	**13%**	**17%**	**8%**	**12%**	**16%**	**14%**		
218	**Total ex-commodities**		**21%**	**15%**	**6%**	**12%**	**5%**	**8%**	**17%**	**15%**		
213	**Total ex-commodities, ex-telecom**		**14%**	**11%**	**6%**	**11%**	**8%**	**9%**	**15%**	**15%**		
159	**Total ex-Fin, ex-Commodities, ex-Telecom**		**9%**	**14%**	**2%**	**13%**	**6%**	**9%**	**15%**	**14%**		

Source: Bloomberg Finance L.P., Nomura research

Fig. 6: 3QFY26 PAT (in INR mn) and beat/miss on consensus estimates

Of the 228 companies for which consensus estimates are available, 97 companies beat estimates whereas 131 were behind consensus estimates.

No of Companies	Sector	Q3FY25	Q3FY26	Q3FY26E	No of companies which beat estimates	No of companies which missed estimates	Aggregate Beat/Miss
26	Consumer Discretionary/Durables	80,776	91,210	90,918	10	16	0%
19	Capital Goods/Defense	79,642	99,789	99,967	9	10	0%
11	Div Fin	60,160	74,380	73,672	7	4	1%
7	Cement	47,347	31,694	31,867	2	5	-1%
6	Power/Coal	187,730	182,690	179,736	3	3	2%
9	Infrastructure	47,278	44,740	57,335	4	5	-22%
6	Transport Logistics	58,643	47,910	61,223	1	5	-22%
17	Autos	152,607	185,453	193,591	4	13	-4%
22	Healthcare	132,330	138,101	141,930	10	12	-3%
13	Oil and Gas	446,459	567,960	531,938	5	8	7%
17	Banks	827,110	905,600	847,018	13	4	7%
11	Consumer Staples/FMCG	129,340	127,290	126,606	5	6	1%
12	NBFCs	205,440	209,464	223,610	7	5	-6%
5	Telecom	126,660	39,560	33,455	2	3	18%
6	Chemicals	19,541	15,980	19,134	2	4	-16%
14	IT Services	361,227	342,932	396,759	2	12	-14%
5	Internet/Media	(560)	(2,050)	381	2	3	NA
7	Real estate	32,750	37,330	41,455	2	5	-10%
6	Insurance	131,280	150,416	124,024	3	3	21%
9	Metals/ Mining	153,870	187,850	205,031	4	5	-8%
228	**Total**	**3,279,630**	**3,478,298**	**3,479,651**	**97**	**131**	**0%**
193	**Total ex-commodities**	**2,612,413**	**2674813.63**	**2691680.44**	**84**	**110**	**-1%**
188	**Total ex-commodities ex-telecom**	**2,485,753**	**2,635,254**	**2,658,226**	**82**	**107**	**-1%**
142	**Total ex-fin ex-commodities ex telecom**	**1,261,763**	**1,295,394**	**1,389,902**	**52**	**90**	**-7%**

Source: Bloomberg Finance L.P., Nomura research

Fig. 7: 3QFY26 PAT (in INR mn) and beat/miss on consensus estimates- Labour code adjusted

Of the 228 companies for which consensus estimates are available, 130 companies beat estimates whereas 98 were behind consensus estimates. On aggregate, the earnings adjusted for the impact of provision due to labour code was 4% higher than consensus estimates. For most of the sectors, aggregate earnings were ahead of consensus estimates except for IT services, NBFCs, metals and chemicals

No of Companies	Sector	Q3FY25	Q3FY26	Q3FY26E	No of companies which beat estimates	No of companies which missed estimates	Aggregate Beat/Miss
26	Consumer Discretionary/Durables	80,776	97,417	90,918	13	13	7%
19	Capital Goods/Defense	79,642	104,263	99,967	12	7	4%
11	Div Fin	60,160	77,983	73,672	9	2	6%
7	Cement	47,347	33,928	31,867	2	5	6%
6	Power/Coal	187,730	183,764	179,736	3	3	2%
9	Infrastructure	47,278	56,401	57,335	5	4	-2%
6	Transport Logistics	58,643	55,711	61,223	1	5	-9%
17	Autos	152,607	199,299	193,591	11	6	3%
22	Healthcare	132,330	152,391	141,930	16	6	7%
13	Oil and Gas	446,459	572,202	531,938	7	6	8%
17	Banks	827,110	921,099	847,018	13	4	9%
11	Consumer Staples/FMCG	129,340	131,313	126,606	6	5	4%
12	NBFCs	205,440	214,553	223,610	9	3	-4%
5	Telecom	126,660	43,249	33,455	3	2	29%
6	Chemicals	19,541	17,512	19,134	2	4	-8%
14	IT Services	361,227	387,550	396,759	6	8	-2%
5	Internet/Media	(560)	(1,503)	381	2	3	NA
7	Real estate	32,750	38,117	41,455	2	5	-8%
6	Insurance	131,280	153,432	124,024	4	2	24%
9	Metals/ Mining	153,870	193,631	205,031	4	5	-6%
228	**Total**	**3,279,630**	**3,632,312**	**3,479,651**	**130**	**98**	**4%**
193	**Total ex-commodities**	**2,612,413**	**2,815,039**	**2,691,680**	**115**	**78**	**5%**
188	**Total ex-commodities ex-telecom**	**2,485,753**	**2,771,789**	**2,658,226**	**112**	**76**	**4%**
142	**Total ex-fin ex-commodities ex telecom**	**1,261,763**	**1,404,722**	**1,389,902**	**77**	**65**	**1%**

Source: Bloomberg L.P., Nomura research

Fig. 8: Sector-wise 3Q sales performance (in INR mn)

Sales growth was strong in double-digits at 10.4% y-y at multi quarter highs; autos, cap goods and durables recorded strong growth. Sales growth was relatively muted for IT services and staples

# of companies	Sector	Q3FY25	2QFY26	3QFY26	y-y%	q-q %	3QFY26 yy% growth contribution
26	Consumer Discretionary/Durables	1,023,620	1,120,411	1,208,865	18.1%	7.9%	7.5%
22	Capital Goods/Defense	713,665	800,915	856,740	20.0%	7.0%	5.8%
7	Cement	399,714	431,050	469,550	17.5%	8.9%	2.8%
11	Power/Coal	1,309,202	1,267,202	1,265,952	-3.3%	-0.1%	-1.8%
10	Infrastructure	1,081,030	1,107,650	1,190,080	10.1%	7.4%	4.4%
6	Transport Logistics	354,720	338,120	389,450	9.8%	15.2%	1.4%
22	Autos	2,032,767	2,270,090	2,464,825	21.3%	8.6%	17.6%
22	Healthcare	854,160	971,512	962,540	12.7%	-0.9%	4.4%
14	Oil and Gas	8,878,583	8,608,020	9,331,990	5.1%	8.4%	18.5%
12	Consumer Staples/FMCG	837,850	886,780	920,990	9.9%	3.9%	3.4%
5	Telecom	718,420	799,450	820,000	14.1%	2.6%	4.1%
6	Chemicals	324,930	377,620	373,830	15.0%	-1.0%	2.0%
14	IT Services	2,407,254	2,556,966	2,624,429	9.0%	2.6%	8.8%
6	Internet/Media	114,280	217,810	247,020	116.2%	13.4%	5.4%
8	Real estate	113,600	122,360	144,000	26.8%	17.7%	1.2%
10	Metals/ Mining	2,331,690	2,569,300	2,679,800	14.9%	4.3%	14.2%
201	**Total ex-fin**	**23,495,485**	**24,445,256**	**25,950,060**	**10.4%**	**6.2%**	
164	**Total ex fin, ex commodities**	**11,560,568**	**12,459,266**	**13,094,890**	**13.3%**	**5.1%**	
159	**Total ex-fin ex-commodities ex telecom**	**10,842,148**	**11,659,816**	**12,274,890**	**13.2%**	**5.3%**	

Source: Bloomberg L.P., Nomura research

Fig. 9: Sales growth (y-y)

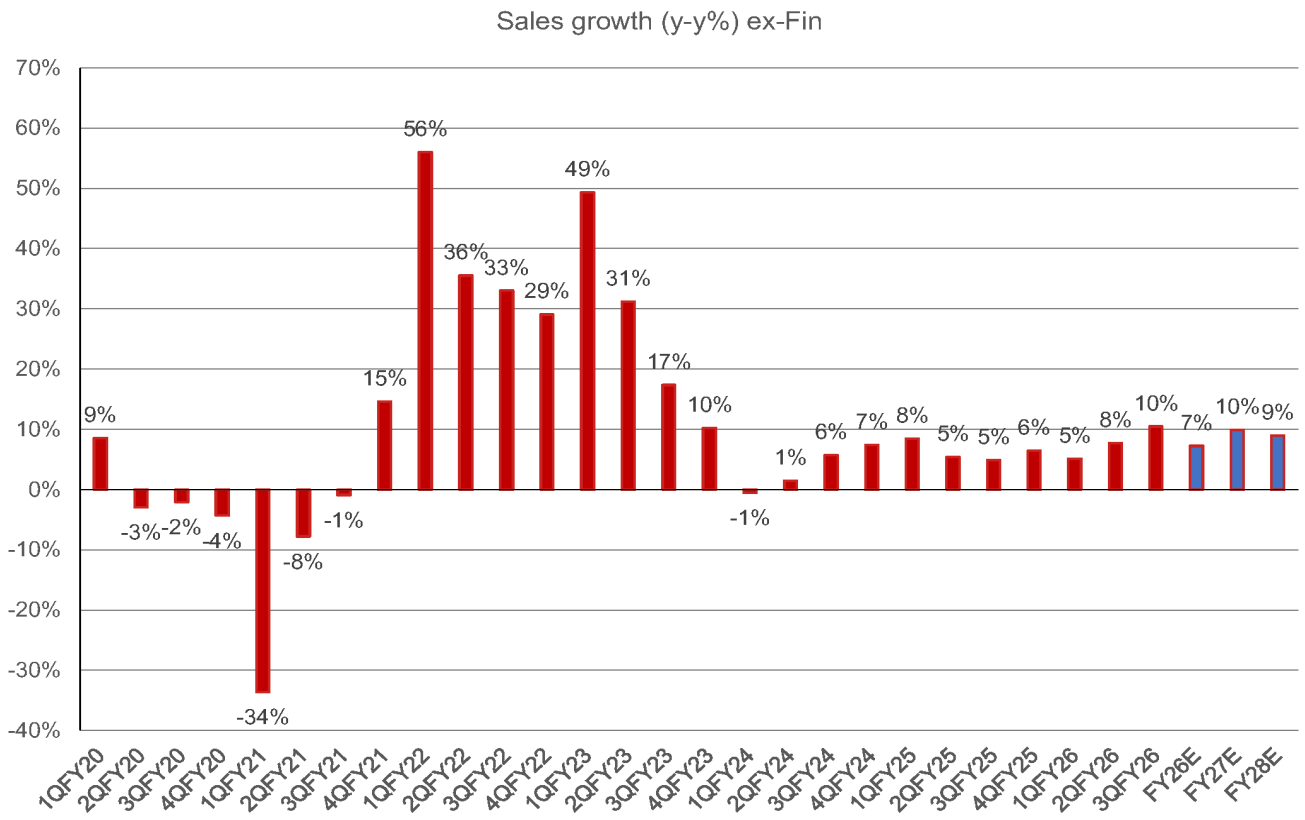
The Street expects 10%/9% y-y growth in sales in FY27/28E

Companies considered	Sector	3QFY25	4QFY25	1QFY26	2QFY26	3QFY26	FY26E	FY27E	FY28E	CAGR 26-28	Contribution to FY 26-28E Growth
14	Oil and Gas	0%	1%	0%	4%	5%	-2%	5%	6%	6%	21%
22	Autos	11%	11%	9%	13%	21%	15%	13%	11%	12%	11%
10	Metals/ Mining	-4%	5%	5%	3%	15%	13%	11%	6%	9%	10%
10	Infrastructure	6%	5%	6%	7%	10%	11%	21%	14%	18%	9%
14	IT Services	7%	8%	6%	8%	9%	10%	8%	8%	8%	9%
26	Consumer Discretionary/Durables	25%	29%	15%	15%	18%	16%	19%	16%	17%	8%
22	Capital Goods/Defense	25%	8%	12%	16%	20%	16%	18%	16%	17%	6%
11	Power/Coal	5%	3%	0%	-2%	-3%	14%	11%	7%	9%	5%
22	Healthcare	13%	13%	10%	15%	13%	12%	11%	11%	11%	5%
5	Telecom	14%	19%	20%	18%	14%	16%	12%	11%	12%	4%
12	Consumer Staples/FMCG	9%	9%	12%	7%	10%	10%	9%	10%	10%	4%
7	Cement	2%	9%	13%	21%	17%	20%	12%	10%	11%	2%
6	Transport Logistics	11%	19%	8%	15%	10%	11%	16%	13%	14%	2%
6	Chemicals	18%	18%	18%	15%	15%	15%	11%	11%	11%	2%
8	Real estate	13%	4%	17%	11%	27%	26%	23%	25%	24%	2%
6	Internet/Media	38%	44%	49%	108%	116%	12%	8%	10%	9%	0%
		3QFY25	**4QFY25**	**1QFY26**	**2QFY26**	**3QFY26**	**FY26E**	**FY27E**	**FY28E**		
201	**Total ex-Fin**	**5%**	**6%**	**5%**	**8%**	**10%**	**7%**	**10%**	**9%**		
164	**Total ex-Fin ex -commodities**	**11%**	**11%**	**9%**	**11%**	**13%**	**13%**	**13%**	**11%**		
159	**Total ex-Fin, ex-Commodities, ex-Telecom**	**11%**	**10%**	**8%**	**11%**	**13%**	**13%**	**13%**	**11%**		

Source: Bloomberg L.P., Nomura research

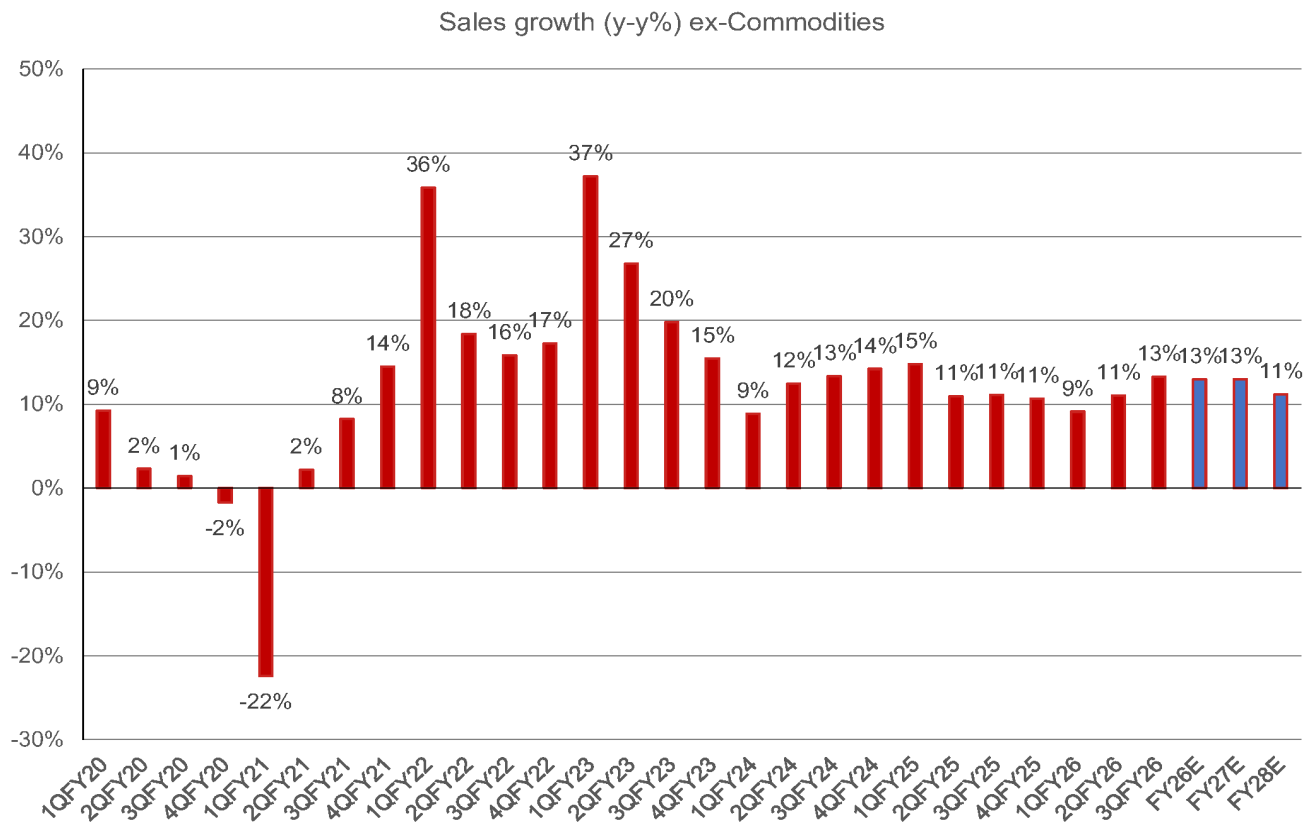
Fig. 10: Sales growth (y-y%) ex-fin

The consensus expects sales growth ex- financials to grow by ~10%/9% y-y over FY27/28E, in line with the growth recorded in 3QFY26



Source: Bloomberg L.P., Nomura research

Fig. 11: Sales growth (y-y%) ex-commodities



Source: Bloomberg L.P., Nomura research

Fig. 12: EBITDA labour code-adjusted - 3Q performance (in INR mn)

# of companies	Sector	Q3FY25	2QFY26	3QFY26	y-y%	q-q %	3QFY26 yy% growth contribution
26	Consumer Discretionary/Durables	127,677	136,346	155,536	21.8%	14.1%	4.5%
22	Capital Goods/Defense	121,465	133,873	151,539	24.8%	13.2%	4.9%
7	Cement	65,977	69,450	72,572	10.0%	4.5%	1.1%
11	Power/Coal	448,070	407,070	425,427	-5.1%	4.5%	-3.7%
10	Infrastructure	123,829	153,620	167,730	35.5%	9.2%	7.1%
6	Transport Logistics	112,091	73,270	125,670	12.1%	71.5%	2.2%
22	Autos	270,133	296,225	336,625	24.6%	13.6%	10.8%
22	Healthcare	208,460	258,870	240,487	15.4%	-7.1%	5.2%
14	Oil and Gas	970,259	1,112,670	1,181,046	21.7%	6.1%	34.3%
12	Consumer Staples/FMCG	164,620	170,620	179,080	8.8%	5.0%	2.4%
5	Telecom	385,960	411,960	425,541	10.3%	3.3%	6.4%
6	Chemicals	44,192	53,070	49,760	12.6%	-6.2%	0.9%
14	IT Services	528,499	557,539	590,720	11.8%	6.0%	10.1%
6	Internet/Media	3,440	6,690	5,371	56.1%	-19.7%	0.3%
8	Real estate	38,230	34,870	40,607	6.2%	16.5%	0.4%
10	Metals/ Mining	368,640	431,470	448,020	21.5%	3.8%	12.9%
201	**Total ex-fin**	**3,981,540**	**4,307,612**	**4,595,730**	**15.4%**	**6.7%**	
164	**Total ex-commodity**	**2,996,343**	**3,224,112**	**3,470,518**	**15.8%**	**7.6%**	
159	**Total ex-fin ex-commodities ex telecom**	**2,146,513**	**2,228,992**	**2,418,791**	**12.7%**	**8.5%**	

Source: Bloomberg L.P., Nomura research

Fig. 13: 3QFY26 EBITDA (in INR mn) and beat/miss on consensus estimates- Labour code-adjusted

For most sectors EBITDA was higher than consensus estimates. EBITDA was below estimates for cement, metals, power, chemicals

No of Companies	Sector	Q3FY25	Q3FY26	Q3FY26E	No of companies which beat estimates	No of companies which missed estimates	Aggregate Beat/Miss
26	Consumer Discretionary/Durables	127,677	155,536	150,727	16	10	3%
20	Capital Goods/Defense	110,905	140,459	135,178	9	11	4%
7	Cement	65,977	72,572	76,239	2	5	-5%
10	Power/Coal	440,040	423,937	491,562	2	8	-14%
9	Infrastructure	93,129	131,310	112,365	5	4	17%
6	Transport Logistics	112,091	125,670	124,144	4	2	1%
22	Autos	270,133	336,625	325,792	14	8	3%
22	Healthcare	208,460	240,487	228,793	16	6	5%
13	Oil and Gas	967,612	1,177,927	1,105,454	8	5	7%
12	Consumer Staples/FMCG	164,620	179,080	176,330	7	5	2%
5	Telecom	385,960	425,541	421,527	5	-	1%
6	Chemicals	44,192	49,760	50,942	2	4	-2%
14	IT Services	528,499	590,720	578,794	9	5	2%
6	Internet/Media	3,440	5,371	6,206	3	3	NA
7	Real estate	36,890	38,900	50,371	2	5	-23%
9	Metals/ Mining	347,030	431,520	508,188	4	5	-15%
194	**Total ex-fin**	**3,906,653**	**4,525,414**	**4,542,612**	**108**	**86**	**0%**
159	**Total ex-fin ex commodities**	**2,481,843**	**2,793,635**	**2,801,789**	**92**	**67**	**0%**
154	**Total ex-fin ex-commodities ex telecom**	**2,095,883**	**2,368,094**	**2,380,262**	**87**	**67**	**-1%**

Source: Bloomberg L.P., Nomura research

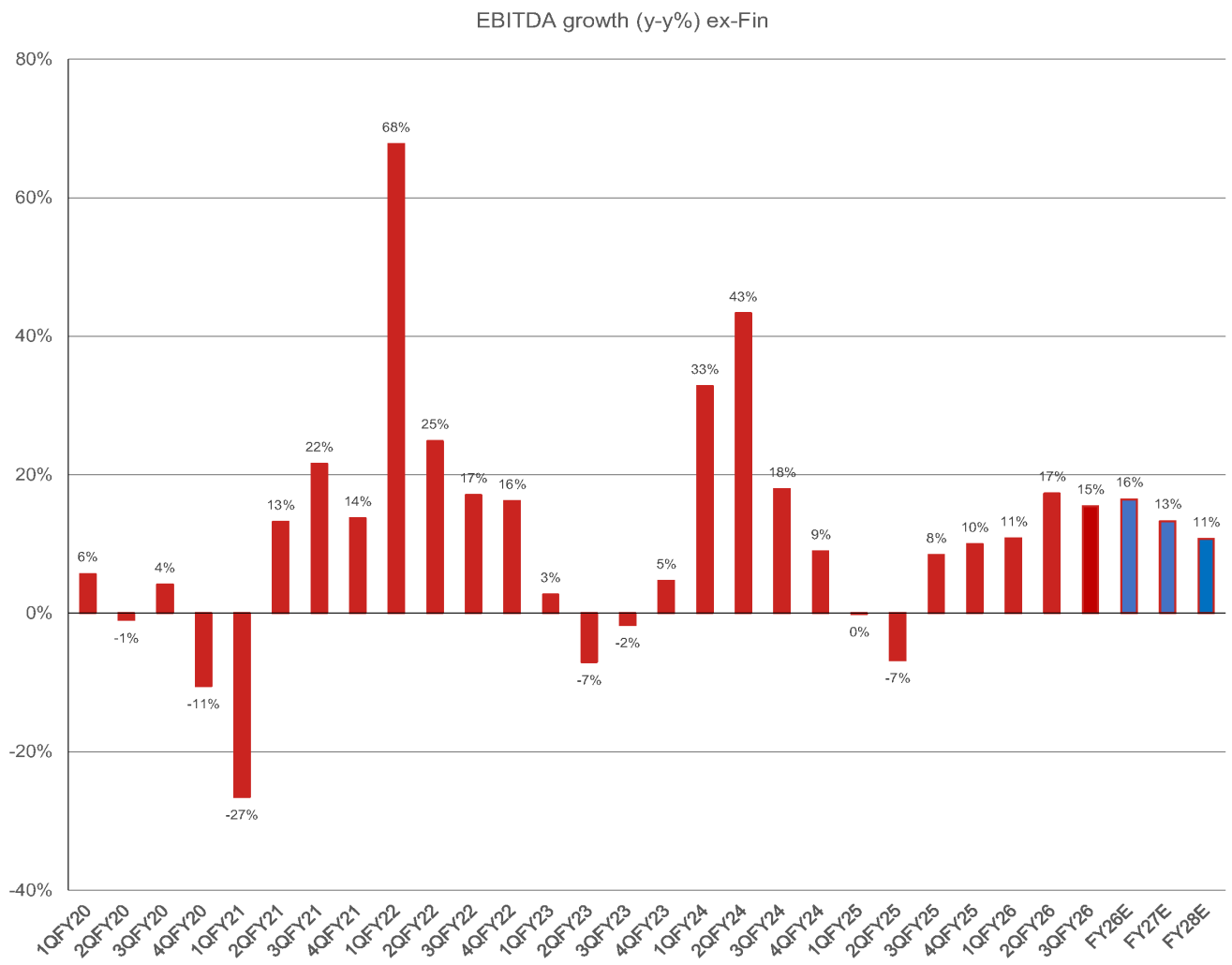
Fig. 14: EBITDA growth (y-y) – labour code adjusted

Companies considered	Sector	3QFY25	4QFY25	1QFY26	2QFY26	3QFY26	Jan-Mar 2026	FY26E	FY27E	FY28E	CAGR (FY26-28)	Contribution to 26-28 Growth Contribution
10	Metals/ Mining	-8%	13%	9%	5%	22%	72%	29%	23%	8%	15%	15%
14	Oil and Gas	3%	2%	22%	39%	22%	6%	21%	5%	6%	6%	11%
11	Power/Coal	9%	4%	-7%	-1%	-5%	82%	8%	14%	10%	12%	11%
5	Telecom	30%	29%	28%	23%	10%	15%	19%	14%	12%	13%	10%
14	**IT Services**	10%	8%	6%	9%	12%	15%	10%	9%	8%	9%	9%
22	Autos	9%	6%	0%	5%	25%	27%	15%	17%	13%	15%	8%
10	Infrastructure	8%	22%	16%	21%	35%	-13%	12%	22%	19%	20%	6%
22	Healthcare	20%	18%	13%	26%	15%	-11%	11%	11%	14%	12%	5%
22	Capital Goods/Defense	48%	9%	16%	21%	25%	16%	12%	22%	18%	20%	5%
26	Consumer Discretionary/Durables	14%	31%	9%	17%	22%	11%	16%	19%	17%	18%	5%
6	Transport Logistics	5%	31%	6%	0%	12%	11%	8%	24%	16%	20%	4%
7	Cement	-16%	10%	37%	48%	10%	34%	31%	21%	16%	18%	3%
12	Consumer Staples/FMCG	2%	2%	0%	3%	9%	13%	6%	9%	11%	10%	3%
8	Real estate	18%	-8%	1%	5%	6%	100%	31%	30%	29%	30%	3%
6	Chemicals	69%	37%	29%	28%	13%	13%	20%	20%	16%	18%	2%
6	Internet/Media	-26%	NA	-71%	4%	80%	16%	12%	8%	10%	9%	0%
		3QFY25	**4QFY25**	**1QFY26**	**2QFY26**	**3QFY26**	**Jan-Mar 2026**	**FY26E**	**FY27E**	**FY28E**		
201	**Total ex-Fin**	**8%**	**10%**	**11%**	**17%**	**15%**	**25%**	**16%**	**13%**	**11%**		
164	**Total ex-Fin, ex-Commodities**	**14%**	**12%**	**6%**	**11%**	**12%**	**25%**	**12%**	**15%**	**13%**		
159	**Total ex-Fin, ex-Commodities, ex-Telecom**	**11%**	**10%**	**3%**	**9%**	**13%**	**26%**	**11%**	**15%**	**13%**		

Source: Bloomberg L.P., Nomura research

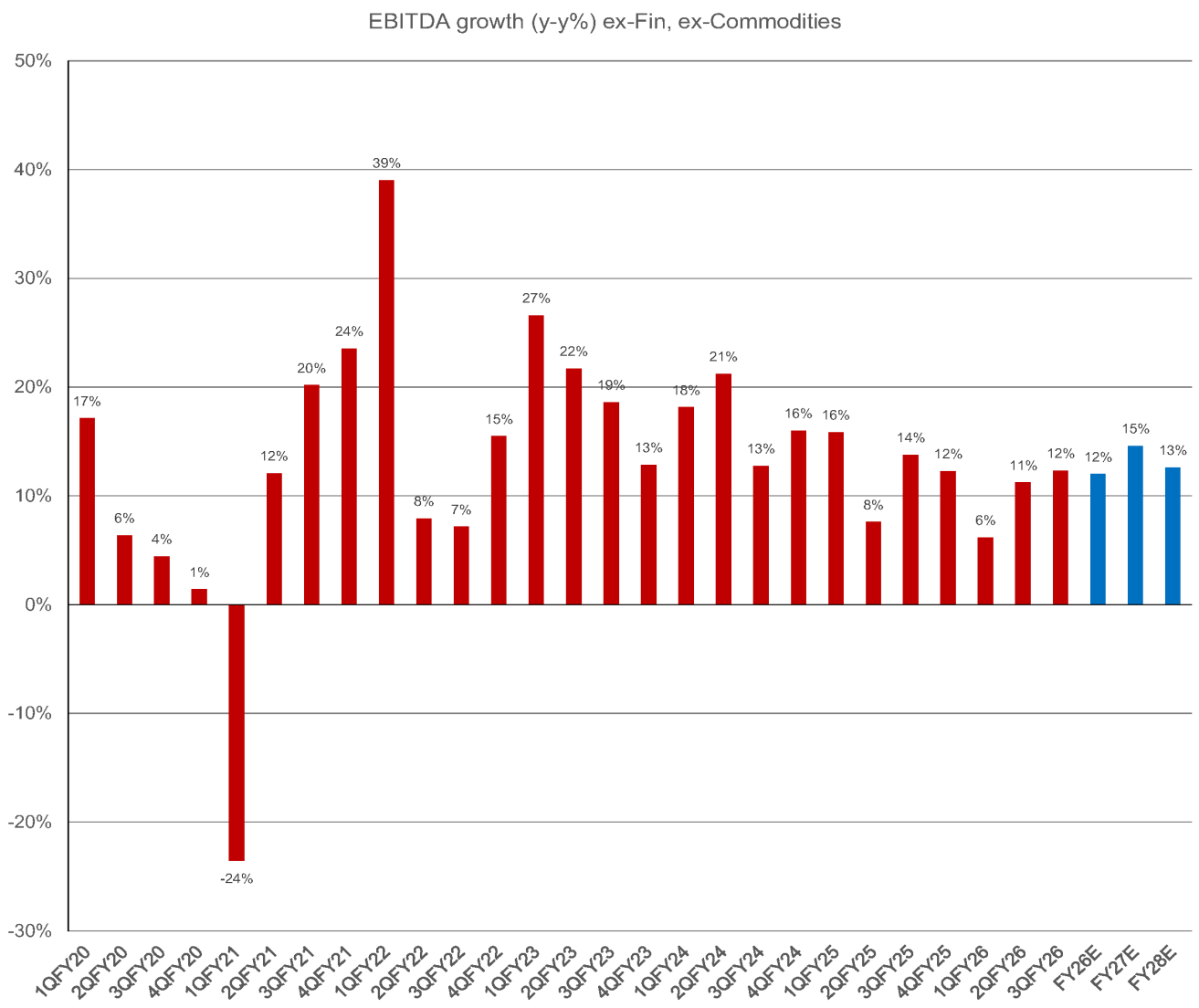
Fig. 15: BSE200+ EBITDA growth

EBITDA growth is expected to accelerate in the rest of FY26/27/28E, with EBITDA margins holding up across most sectors



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

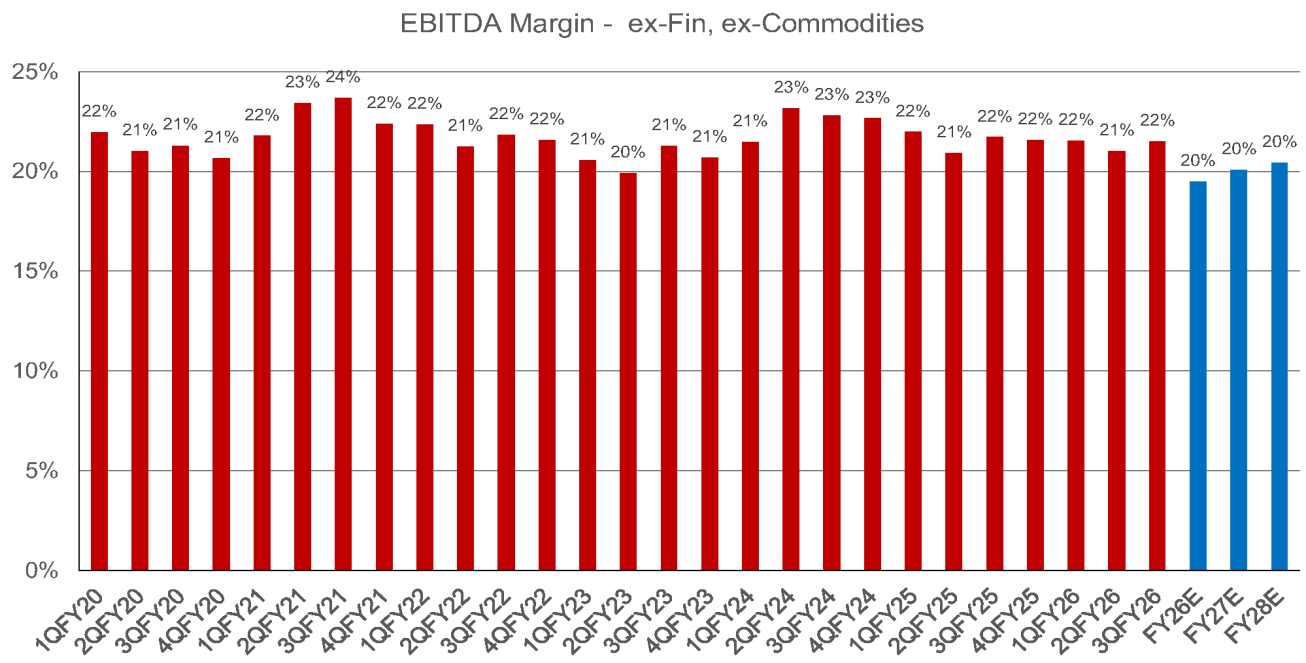
Fig. 16: EBITDA growth (y-y%) ex-fin, ex-commodities



Source: Bloomberg L.P., Nomura research

Fig. 17: EBITDA margin - ex-fin, ex-commodities

The consolidated EBITDA margin was steady at ~22%. The Street expectations factor in some compression in EBITDA margin in the quarters ahead



Source: Bloomberg L.P., Nomura research

Fig. 18: Earnings estimate changes since Jan 2026

Aggregate consensus earnings for FY27/28 is revised up 0.6%/0.7% since January 2026 (during the earnings season). Sectors with earnings upgrades are metals, financials, autos, IT services. Earnings are revised lower for staples, chemicals, consumer discretionary, capital goods/defense, Cement

No of Companies	Sector	Earnings change			Share of companies with earnings upgrade		
		FY26	FY27	FY28	FY26	FY27	FY28
22	Consumer Discretionary/Durables	-1%	-3%	-2%	31%	23%	23%
14	Capital Goods/Defense	1%	-2%	-2%	57%	33%	29%
8	Div Fin	-1%	0%	-2%	60%	60%	30%
7	Cement	-4%	-3%	-4%	0%	14%	0%
10	Power/Coal	-5%	-2%	-2%	0%	18%	27%
7	Infrastructure	4%	2%	0%	50%	40%	40%
6	Transport Logistics	0%	1%	1%	50%	50%	50%
21	Autos	1%	1%	1%	64%	59%	64%
21	Healthcare	0%	-1%	0%	50%	41%	45%
13	Oil and Gas	2%	-1%	-1%	31%	31%	38%
17	Banks	1%	1%	1%	59%	47%	41%
12	Consumer Staples/FMCG	-1%	-5%	-5%	42%	25%	42%
11	NBFCs	0%	1%	1%	57%	38%	25%
4	Telecom	-4%	0%	0%	20%	0%	40%
6	Chemicals	-6%	-6%	-7%	0%	0%	0%
11	IT Services	0%	1%	1%	36%	79%	79%
5	Internet/Media	NA	-7%	-6%	67%	33%	33%
6	Real estate	-3%	-2%	-2%	38%	13%	25%
6	Insurance	2%	3%	4%	57%	57%	83%
8	Metals/ Mining	0%	9%	11%	40%	50%	80%
215	**Total**	**0.2%**	**0.6%**	**0.7%**	**43%**	**38%**	**41%**
181	**Total ex- commodity**	**0.1%**	**0.2%**	**0.2%**	**42%**	**38%**	**40%**
177	**Total ex-commodities ex- telecom**	**0.1%**	**0.2%**	**0.2%**	**46%**	**41%**	**44%**
135	**Total ex-fin ex-commodities ex telecom**	**-0.8%**	**-0.8%**	**-0.8%**	**44%**	**39%**	**42%**

Source: Bloomberg L.P., Nomura research

Fig. 19: Earnings estimate changes since Sept 2024

Earnings estimates have been cut in mid single-digit since Sept 2024 for FY27/28E

No of Companies	Sector	Earnings change			Share of companies with earnings upgrade		
		FY26	FY27	FY28	FY26	FY27	FY28
21	Consumer Discretionary/Durables	-13%	-13%	-14%	17%	17%	22%
11	Capital Goods/Defense	-9%	-9%	-4%	32%	26%	64%
6	Div Fin	-4%	-4%	-3%	30%	44%	63%
6	Cement	-24%	-17%	-8%	0%	0%	17%
9	Power/Coal	-18%	-15%	-25%	0%	0%	22%
6	Infrastructure	-14%	-17%	3%	0%	22%	14%
5	Transport Logistics	-17%	3%	21%	17%	17%	40%
18	Autos	-5%	0%	3%	25%	30%	39%
19	Healthcare	-9%	-6%	3%	33%	24%	42%
12	Oil and Gas	-2%	-15%	-4%	23%	23%	42%
13	Banks	-7%	-5%	-6%	35%	41%	23%
11	Consumer Staples/FMCG	-16%	-19%	-21%	0%	8%	27%
9	NBFCs	-1%	2%	5%	43%	45%	56%
4	Telecom	-29%	-7%	-3%	20%	50%	60%
5	Chemicals	-25%	-17%	7%	0%	17%	40%
10	IT Services	-4%	-6%	-12%	36%	29%	31%
5	Internet/Media	-42%	-28%	-22%	40%	20%	20%
5	Real estate	-6%	-5%	-19%	38%	38%	43%
6	Insurance	12%	21%	16%	43%	57%	67%
7	Metals/ Mining	-14%	11%	19%	30%	60%	63%
188	**Total**	**-7.5%**	**-5.9%**	**-4.9%**	**25%**	**28%**	**38%**
158	**Total ex- commodity**	**-7.6%**	**-5.3%**	**-6.5%**	**23%**	**23%**	**36%**
154	**Total ex-commodities ex- telecom**	**-7.2%**	**-5.2%**	**-6.7%**	**24%**	**23%**	**35%**
120	**Total ex-fin ex-commodities ex telecom**	**-10.6%**	**-9.2%**	**-10.5%**	**22%**	**22%**	**34%**

Source: Bloomberg Finance L.P., Nomura research

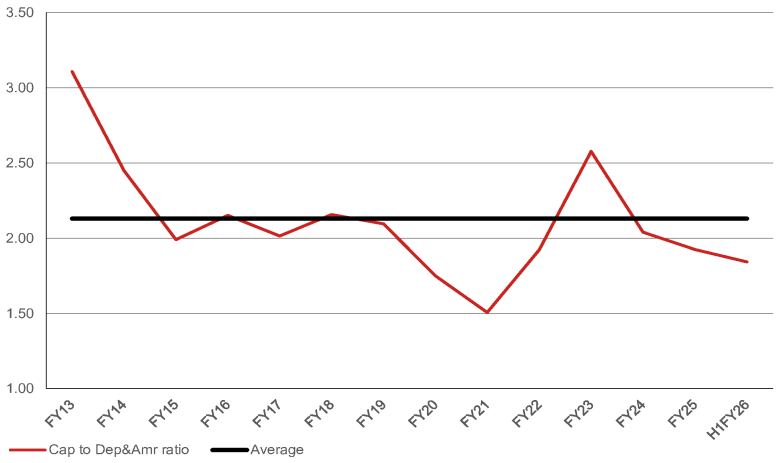
Fig. 20: 3QFY26 sector-wise trends and outlook

Sector	3QFY26: Key trends and outlook
Financials	Banks: Post RBI's monetary and regulatory easing since Dec-24, credit growth has improved to 12.8% y-y in Jan-26 (vs 11.2% in Dec-24). Deposit growth, however, remains a constraint for the sector, despite improving to 10.7% y-y in Jan-26 (vs 9.8% in Dec-24), as it continues to trail credit growth. 3QFY26 saw broad-based momentum across segments, supported by the cumulative impact of CRR cuts, GST cuts, and the 25bp rate cut in Dec-25. We expect margins for most banks to bottom out by 4Q, aided by deposit repricing and a pickup in unsecured retail growth, even as banks absorb the impact of the Dec rate cut. Our Economics team now don't assume a policy rate cut in April 2026. Credit costs have moderated across the board, with faster-than-expected normalization in the MFI segment. We expect further improvement in loan growth, asset quality, and easing margin pressures to support earnings momentum. NBFC: The AUM growth momentum of covered NBFCs were largely in line while some sub segments saw strong growth driven by healthy momentum in auto industry. Credit cost have been a major concern this year. We expect sequential improvement in 4Q26F but major improvements will play out from FY27 only. Diversified lenders and gold financiers have seen very sharp growth momentum, though some managements have raised caution around over leveraging of customers. Insurance: GST cuts of Sep 2025 supported strong premium growth for all our covered life insurers. On the flip side, VNB margins saw sequential or year on year decline as insurers absorb the impact GST cut. We expect the drag on margins to continue in 4Q26, as insurers complete their renegotiations with distributors /vendors (to pass on some impact of GST cut). Also, the sector is set for large distribution reform as regulators take a relook at Indian insurance distribution structures. AMCs: The long-term outlook for the industry remains strong, supported by sustained growth in SIPs and expansion into new product avenues (AIFs, PMS, SIFs - new asset class of min investment of INR1mn). 3QFY26 witnessed robust AUM growth, led by equity and passive segments, along with MTM gains. Revenue yields in the quarter were supported by strong growth in higher-yielding Gold ETFs, resulting in healthy operating profitability. We believe AMCs expanding into lower-tier cities and broadening their international presence through offshore and passive funds will create incremental growth drivers. With SEBI's revised TER regulations (effective 1-Apr-26), we expect AMCs to mitigate earnings impact through restructuring of distribution commissions.
Consumer Staples/FMCG	While GST-led impact continued in October, the recovery in Nov-Dec normalised the growth with greenshoots of demand improvement visible in 3Q. Margins also saw a sequential improvement with benign raw material prices. We believe full benefit of GST to kick in from 4Q and volume growth to improve to above mid-single-digits, and further supported by: 1) low inflation, 2) c.10%+ reduction in product prices due to GST reduction bringing product prices back to that seen two and a half years ago 3) two years of above normal monsoon driving rural recovery. Softness in raw material prices support case for sequential margin improvement. We prefer companies having higher saliency to fast growing categories.
Consumer Discretionary/Durables/ Digital commerce	Discretionary - Despite high gold prices, jewellery demand remained unfazed in 3Q. While 4Q will have lower number of wedding days, we note customer bringng forward sales due to continuous rise in gold prices. Paint demand in 3Q saw some moderation after a better than expected 2Q due to lesser number of painting days (extended monsoon + early festive). Going forward, we expect demand to gradually improve sequentially. QSR has begun reporting mid-single-digit SSSG and started to cycle a higher base, which will continue for the next few quarters. While margins have stabilized now, any lower SSSG might be a risk to both sales and margins. Value fashion growth continued to moderate in 3Q and appears to be settling at current levels of mid-to-high teens. While 3Q did not show any indication of demand improvement, we expect it to improve gradually on the back of multiple positive macro parameters. The stocks have consolidated / corrected in the recent past. Low expectations, macro tailwinds, long term growth potential and correction in valuation multiple makes the risk-reward favorable. Durables - 3QFY26 was a weak quarter across companies leading to further earnings cut. We continue to build in consumption recovery in FY27F on a normal summer season and favorable base. However, high commodity costs if not passed on remains a key margin headwind.
Manufacturing (EMS and Auto ancilliaries)	EMS companies reported a weak quarter due to global memory supply challenges and delay in execution in B2B segment. Recovery in FY27 remains contingent on govt approvals for multiple partnerships across mobile assembly/component manufacturing and remains the key catalyst. Auto component companies reported results largely in line to above estimates. Overall, auto component segment remains the key beneficiary of pick up in exports (given US-EU-FTA deals) and rising content per vehicle in the domestic market.
Autos	3Q performance was a mixed bag with 2W companies reporting results ahead of our estimates while PV companies missed estimates. While volume outlook remains healthy, rising commodity cost pressure/discounts remain margin headwinds. We maintain preference for companies with strong model cycle driving better pricing power.
Infrastructure	The sector provides earnings visibility due to order backlog and prospects of margin improvement on account of execution of fresh orders (with higher margins) and completion of legacy projects. As per L&T, total ordering prospects for 4QFY26 stands at INR5.9tn, +7% y-y driven by Infra and Hydrocarbon. However, water projects continue to witness tepid execution due to payment delays.
Cement	The industry reported weaker q-q EBITDA/t, largely in line with our expectation, on account of weaker cement pricing environment in 3Q. However, the cement prices have started to increase in 4Q and with government scrutiny easing, we expect the industry to see better realization in 4Q. We also expect the demand momentum to continue driven by a recovery in rural market. We remain positive on the sector and expect South and East based players to report better EBITDA/t improvement than peers in 4Q and FY27F.
Capital goods/Defense	We expect a gradual pickup in private capex going forward with data centers being a major driver of capex in particular. Further, we also expect the data center capex to shift towards hyperscalers from colo data centers, which can result in larger ticket-size of data center orders for our coverage companies. We expect power ancillary companies and solar equipment manufacturers to sustain their robust earnings growth momentum. Thus, our overall coverage universe is likely to witness healthy earnings growth but the positives appear largely priced in. Bottom-up stock picking is our preferred approach for the sector.
IT services	We expect IT demand to remain largely stable in CY26. Improvement in US macro is critical for a sharp revival in discretionary demand. We expect bigger pools of services revenues from AI to emerge in next 12-18 months once the adoption gathers pace. We expect EBIT margin to improve modestly by 30bp in FY27F. Narrative on the sector is weak given the uncertainty around deflation of revenues and impact on SaaS companies due to AI, which we think is over done. While valuations are attractive, we are selective and prefer stocks with better revenue growth than the peer set.
Oil and Gas	We estimate Brent oil prices to remain range-bound between USD60/bbl and USD-65/bbl in CY26F, as the market is likely to remain in supply surplus. We expect refining margins for Indian refiners to remain healthy as Indian refiners are more geared towards diesel which continues to see strong margins due to strong demand. We expect global LNG market to head into a multi-year supply glut starting late 2026 resulting in softer spot LNG prices. Outlook for OMCs remains robust underpinned by strong integrated margins given our expectation of muted oil prices. Gas utilities may see strong volume uptick in CY26F given a favourable base of weak CY25 and expected softer imported LNG prices.
Pharmaceutical	Pharma companies reported good set of numbers in 3QFY26 supported by softer raw material prices, favorable currency movement and price increase in branded business. The y-y growth in India and other emerging markets for most large pharma companies were strong. R&D and investments on new initiatives like biosimilars and medtech have increased in the sector in the recent past, lowering the full benefit of GM expansion on EBITDA margins. The medium to long term outlook for CDMO companies remained strong, however there are significant q-q volatility in growth.
Healthcare services	Hospitals have reported double digit growth in revenues on account of increase in bed count as well as ARPOB growth which was primarily driven by case mix improvement. However, the margins for the hospital sector have slightly compressed as companies are expanding their capacities. Increasingly we see pressure from higher bargaining power from insurance companies and doctors as their demand increases. The diagnostic companies delivered a steady low teen volume led growth with some improvement in margins y-y with steady growth in volumes and wellness services.
Telecom	We expect steady ARPU growth and strong FCF generation. Homes and Data Centres key growth drivers for Bharti.
Internet	We expect listed companies to continue to increase their focus on profitability while optimizing for growth, a trend seen even in 2025. The funding environment may improve but will continue to chase companies focusing on profitable growth. We expect companies showing proven path to profitability to be a focus area for investors.
Metals	The industry bore the brunt of weaker domestic steel realisation in 3Q; the realization for major steel producers declined ~5% q-q or ~INR3,500/t. However, stronger demand in 3Q, ~10% y-y volume growth, resulted in better operating leverage. As a result, the consol EBITDA/t declined just ~INR1,800/t q-q, in line with our estimates. Domestic steel prices have recovered strongly with average 4Q domestic HRC prices up 11% q-q or ~INR5,200/t. While rising input cost remains a concern, we expect industry to report ~INR2,000-2,500/t higher q-q EBITDA/t in 4Q.
Real Estate	We believe what stood out where the continued strong pre-sales performance in 3QFY26 (ex-DLF [which paused sales in the quarter], pre-sales for large listed players were up +23% y-y), and all the developers in our coverage (except for Oberoi Realty [OBER IN, Buy] and ABREL [ABREL IN, Buy] which do not provide guidance) maintained or reiterated confidence in beating their FY26E pre-sales guidance. Further, collection momentum and OCF (operating cash flow) generation for the industry were strong. On the outlook, all developers maintained a steady-to-positive outlook for the real estate market while also indicating low single-digit price hike expectations. There's gain in market share by Grade A developers.

Source: Nomura research

Fig. 21: Capex to depreciation ratio

Capex to depreciation ratio is expected to correct from the continued moderation since the past three years. It has been the lowest this year since FY21



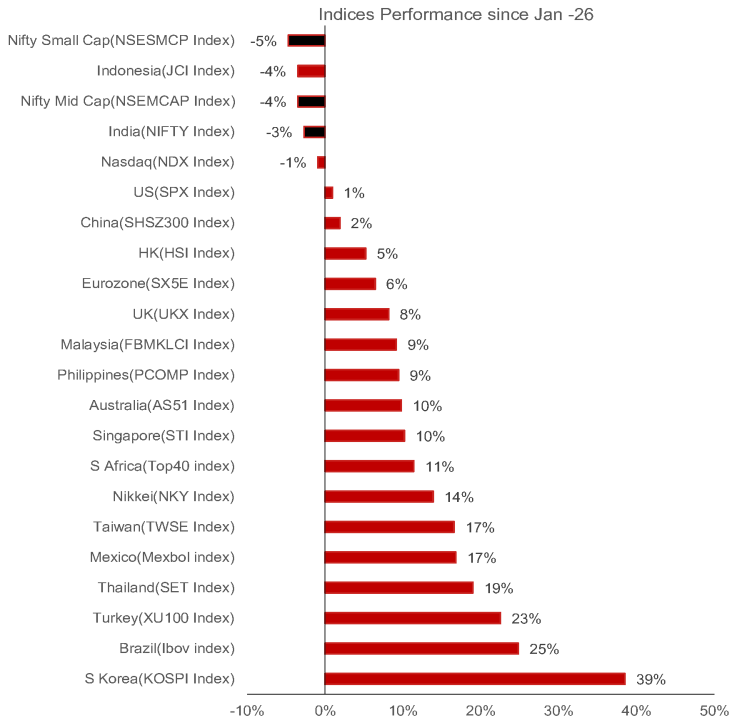
Source: Bloomberg Finance L.P., Nomura research

Fig. 22: Sector-wise performance

Sectorwise price performance (1st-Jan-2026 to 23-Feb-2026)	Mcap weighted price change
Banks	5.0%
Metals/ Mining	4.7%
Power/Coal	3.3%
Capital Goods/Defense	3.3%
Healthcare Services	2.7%
Insurance	2.6%
Cement	2.2%
Infrastructure	1.6%
NBFCs	1.2%
Pharma	0.4%
Transport Logistics	0.3%
Autos	-0.4%
Consumer Staples/FMCG	-1.0%
BSE200+ Universe	**-1.3%**
Nifty Index	-1.7%
Consumer Discretionary/Durables	-2.4%
Nifty Midcap Index	-2.5%
Nifty Smallcap Index	-3.7%
Telecom	-4.5%
Oil and Gas	-4.5%
Div Fin	-4.8%
Real estate	-7.5%
Chemicals	-9.0%
Internet/Media	-10.8%
IT Services	-17.6%

Source: Bloomberg L.P., Nomura research

Fig. 23: Indices performance since Jan -26 (in USD terms)

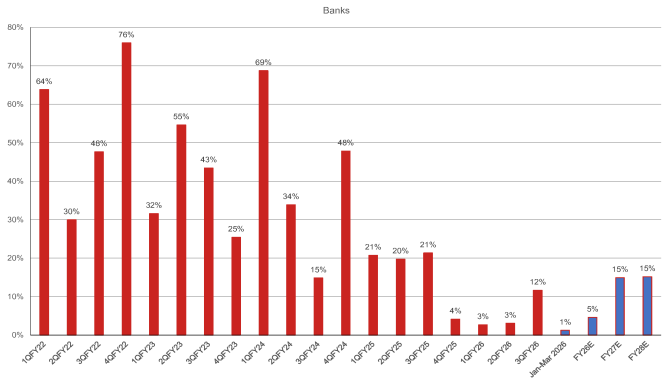


Source: Bloomberg L.P., Nomura research

BSE200+ PAT growth trends (after adjusting for the labour code): The Street factoring in acceleration in growth

Fig. 24: Banks PAT growth y-y%

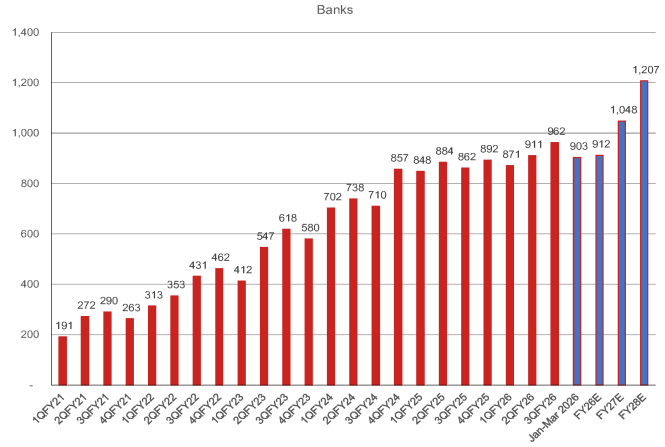
3QFY26 aggregate growth for the sector was strong at 12% y-y due to reduced margin pressure and improved asset quality. The Street expects earnings momentum to continue in FY27E



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 25: Banks PAT (INRbn)

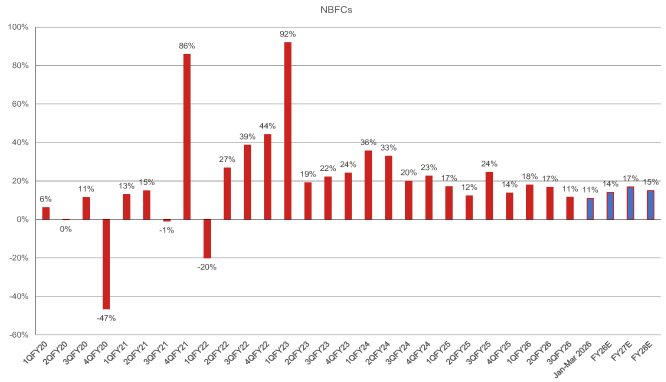
The consensus expects FY26-28E earnings CAGR at 15%, with muted growth in FY26E due to margin pressure. Growth is expected to accelerate in FY27/28E



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 26: NBFCs PAT growth y-y%

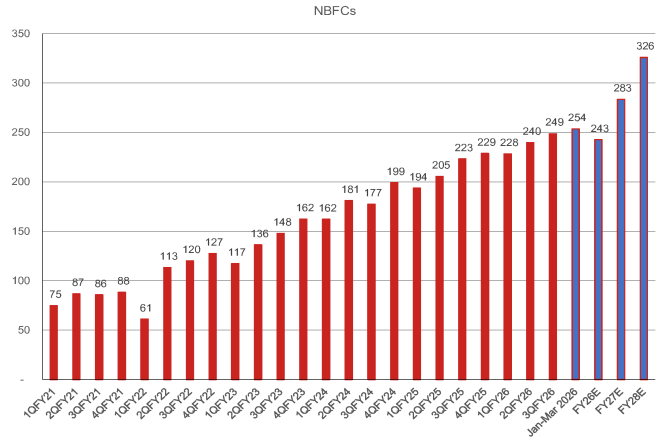
Steady growth supported by a reduction in GST rates and repo rate cuts



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 27: NBFCs PAT (INRbn)

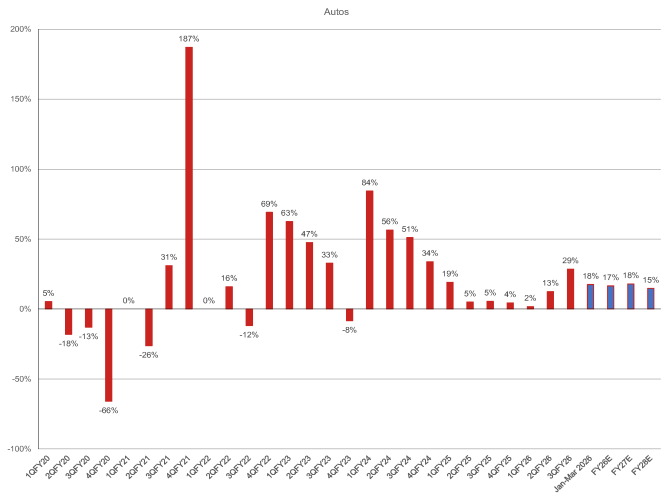
The Street expects FY26-28E earnings CAGR at 16%, similar to the 16% CAGR over 4QFY23 to 4QFY26F



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 28: Autos PAT Growth y-y %

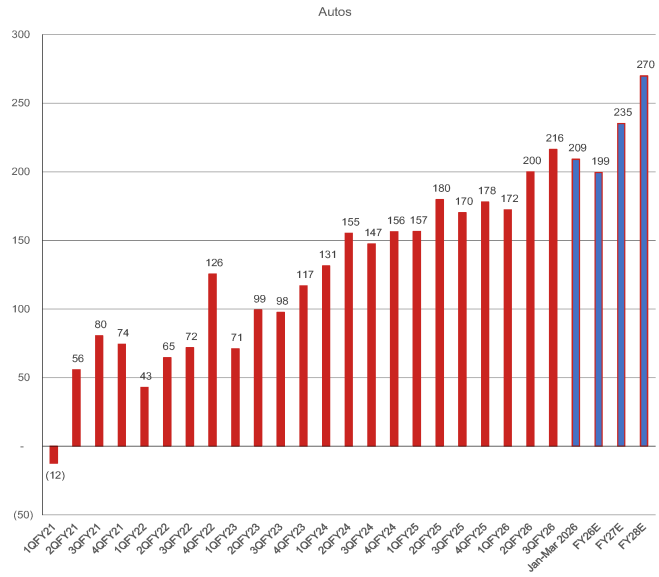
Y-y improvement in sector PAT in QFY26 (ex-TMPV &TMCV) was up 29%,majorly due to Mahindra and Mahindra outperformance. The Street expectsgrowth rate to accelerate to higher teens in the remaining FY26E and inFY27E



Note: Based on consensus estimates
Source: Bloomberg L.P., Nomura Research

Fig. 29: Autos PAT (INR Bn)

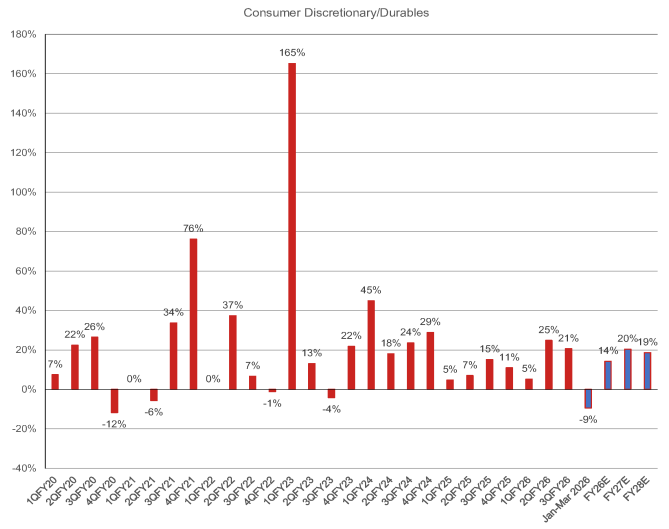
The consensus expects a robust FY26-28E PAT CAGR of 16% vs 3 year CAGR of 21% in 4QFY26



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg L.P., Nomura Research

Fig. 30: Consumer discretionary/Durables PAT growth y-y%

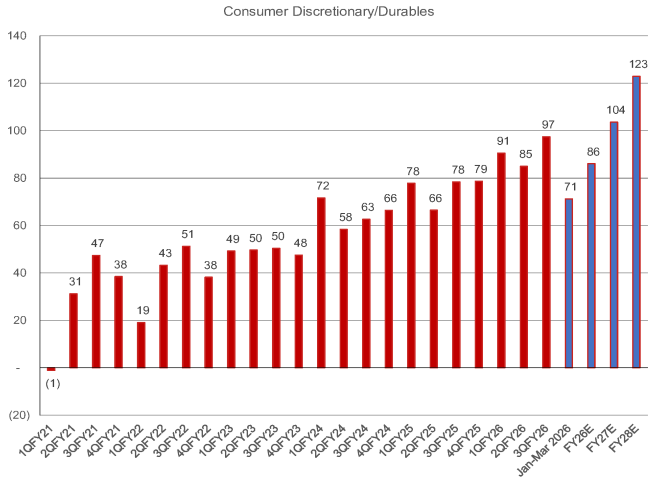
3QFY26 PAT growth was up 21% y-y supported by Titan (TTAN). Consensus expectations are of constant earnings growth in FY27/28E



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 31: Consumer discretionary/Durables PAT (INRbn)

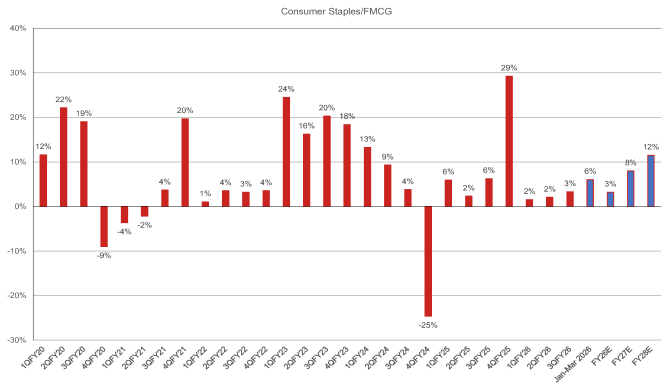
The consensus expects PAT to accelerate at 20% CAGR over FY26-28E vs 4% CAGR over 4QFY24 to 4QFY26F.



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 32: Consumer staples/FMCG PAT growth y-y%

3QFY26 PAT yy growth was low at ~3% for the sector due to the drag by the underperformance of ITC IN

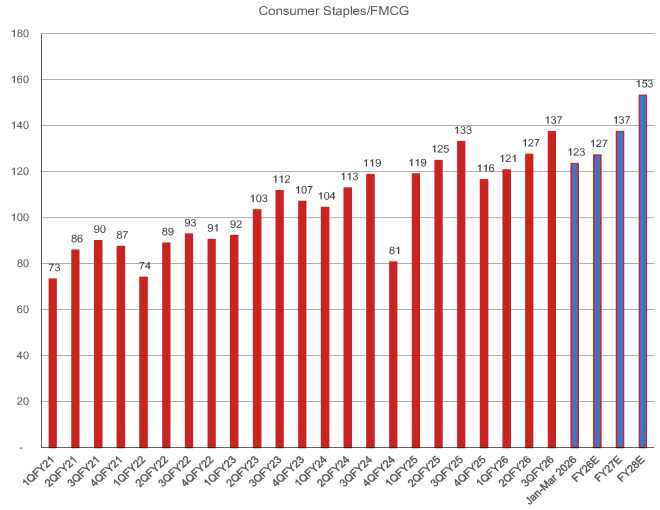


Note: Based on consensus estimates

Source: Bloomberg Finance L.P., Nomura research

Fig. 33: Consumer staples/FMCG

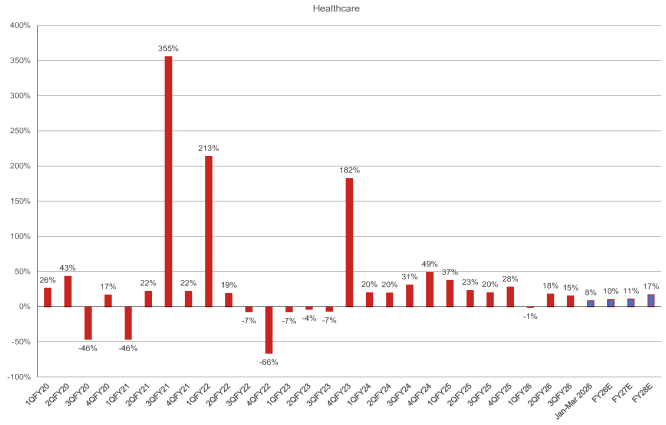
Consensus expects FY26-28E CAGR at 10% vs 8% CAGR since 4QFY22 to 4QFY26F. This showcases an expected acceleration in the next two fiscals



Source: Bloomberg L.P., Nomura research

Fig. 34: Healthcare

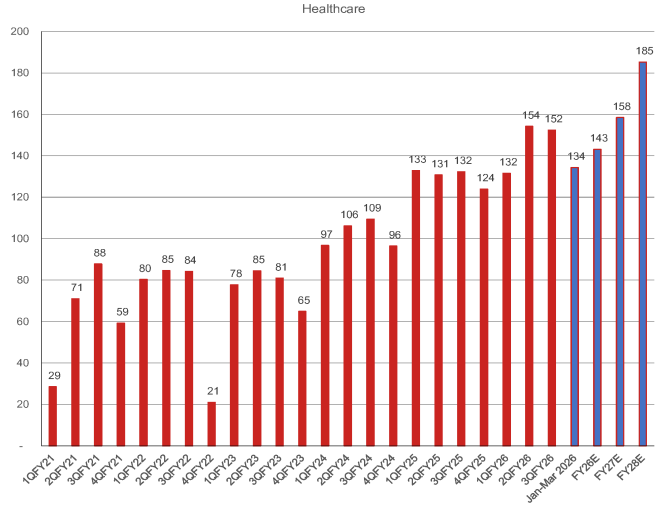
Healthcare aggregate 3QFY26 PAT was strong at 15% y-y due to outperformance by IPCA, LPC and SUNP



Source: Bloomberg L.P., Nomura research

Fig. 35: Healthcare

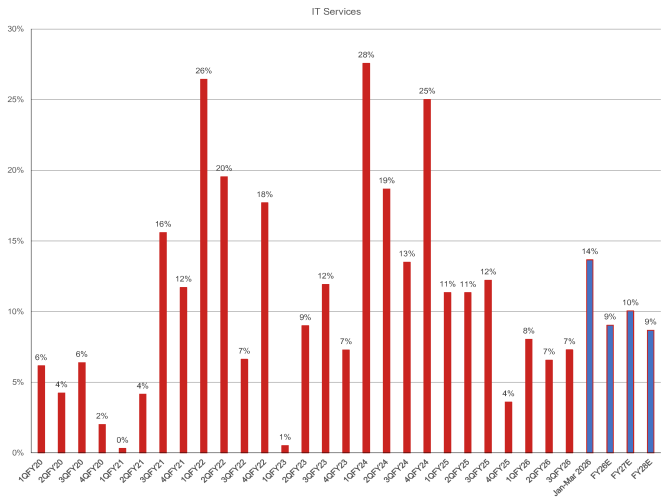
The consensus expects FY26-28E earnings CAGR at 14%, a slight moderation compared to a twoyear CAGR of 17% in 4QFY26



Source: Bloomberg L.P., Nomura research

Fig. 36: IT services PAT growth y-y%

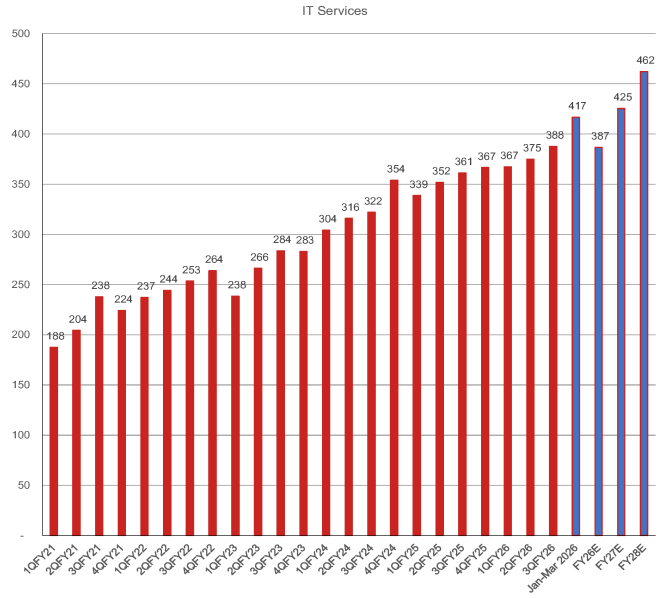
3QFY26 y-y PAT growth saw a constant in Q3FY26. Growth expectations show stable growth ~10% in the near term



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 37: IT services

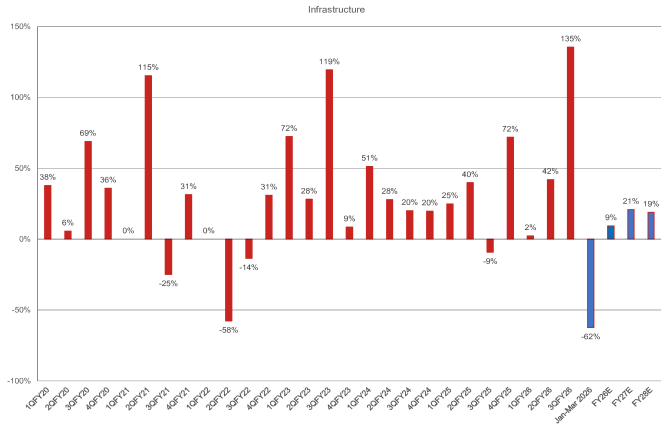
The consensus expects FY26-28E earnings CAGR at 9% vs a 14% three-year CAGR in 4QFY26



Source: Bloomberg L.P., Nomura research

Fig. 38: Infrastructure PAT growth y-y%

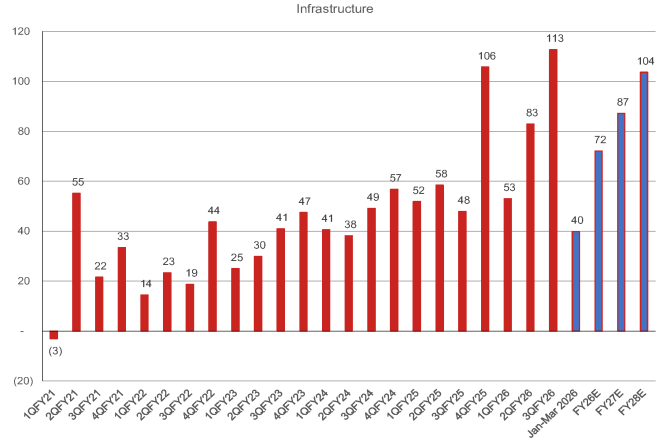
Aggregate PAT expected to pick up in FY27E



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 39: Infrastructure PAT (INRbn)

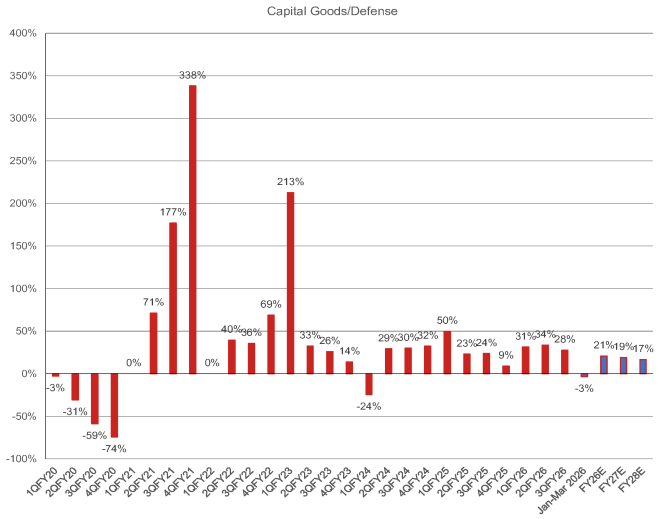
The consensus expects FY26-28E earnings CAGR at 20%.



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 40: Capital goods/Defense PAT growth y-y%

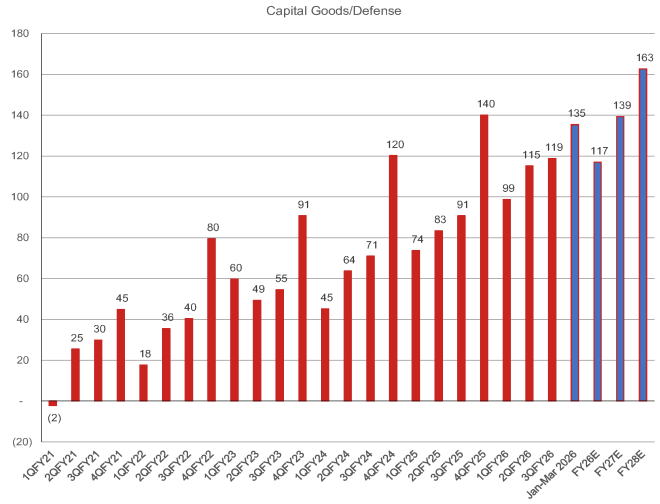
Sector PAT y-y growth was strong due to strong order inflows. The street expects the y-y growth rate to be constant



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 41: Capital goods/Defense PAT (INRbn)

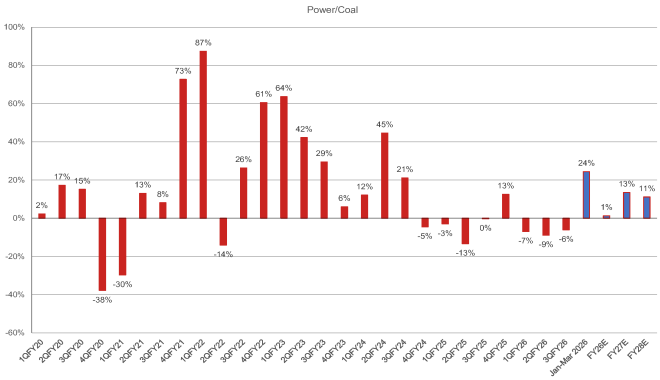
The consensus expects FY26-28E earnings to improve with a CAGR of 18%, as compared to the three-year CAGR of 14% in 4QFY26



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 42: Power/Coal PAT growth y-y%

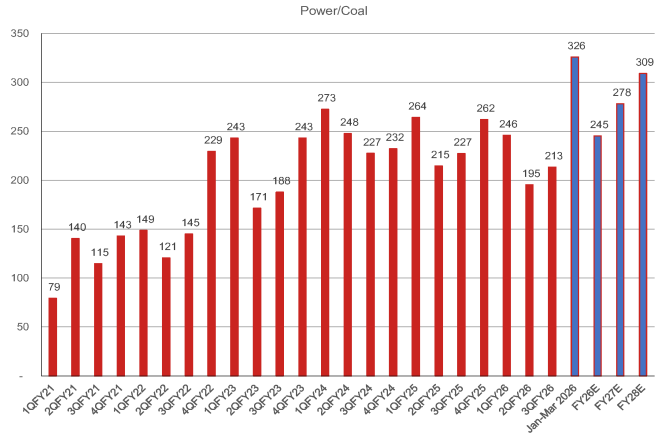
3QFY26 aggregate PAT declined 6% y-y



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 43: Power/Coal PAT (INRbn)

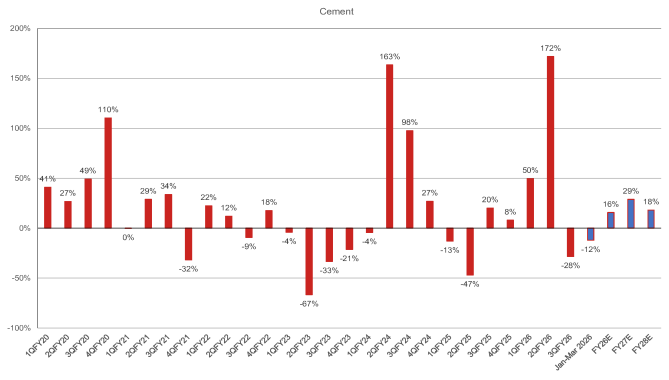
FY26-28E CAGR at 12%



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 44: Cement

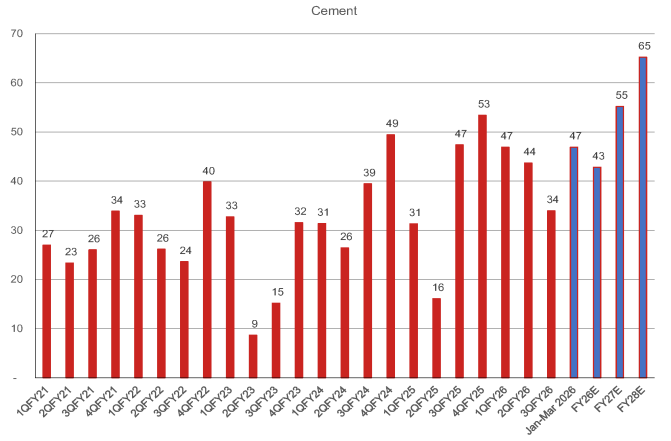
3QFY26 aggregate PAT y-y was low due to underperformance by ACC IN and ACEM IN



Source: Bloomberg L.P., Nomura research

Fig. 45: Cement PAT (INRbn)

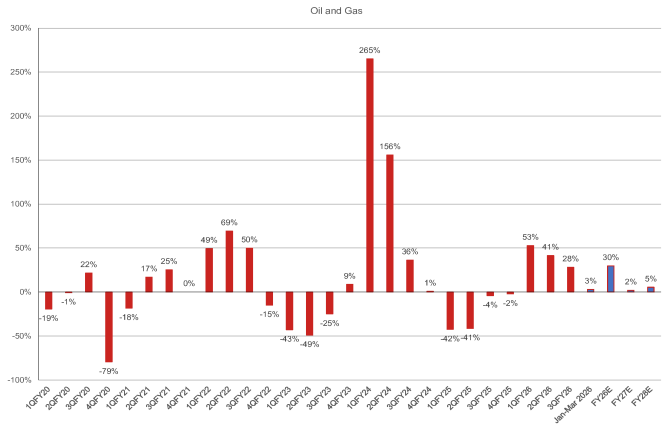
FY26-28E CAGR at 23% depicts a robust acceleration as compared to a flat 4Q earnings growth over the past two years



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 46: Oil and gas PAT growth y-y%

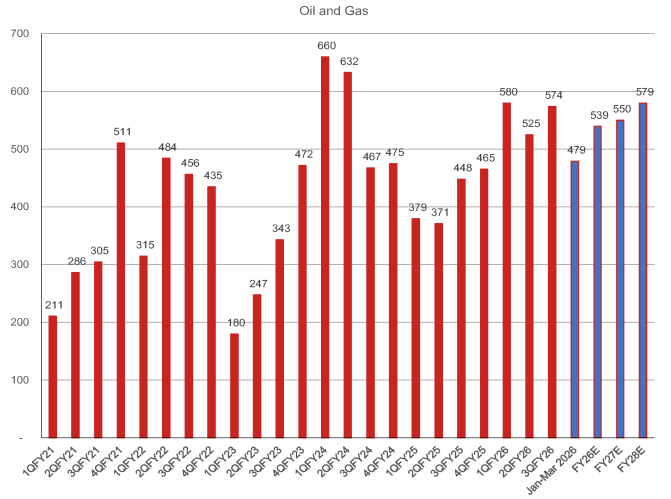
3QFY26 aggregate PAT y-y growth was high due to outperformance by BPCL IN and IOCL IN (increased integrated margins)



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 47: Oil and gas PAT (INRbn)

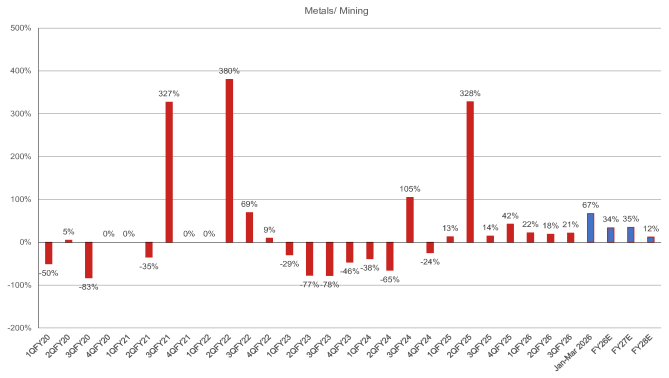
FY26-28E CAGR at 4% implying a muted PAT growth in the next 2 years



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 48: Metals/ Mining PAT growth y-y%

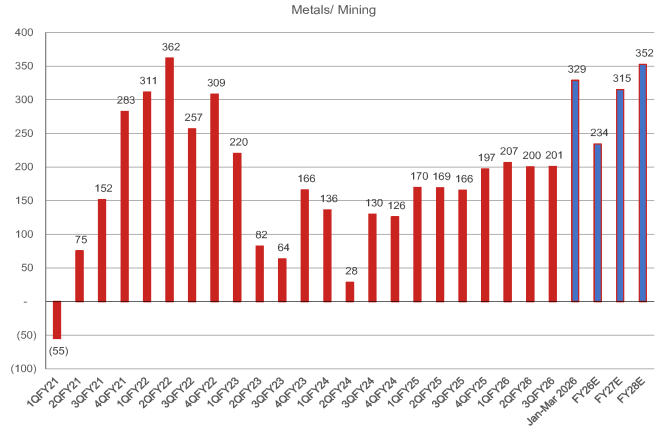
3QFY26 PAT yy growth was driven by JSTL IN, TATA IN and LLOYDSME IN, favored by a low base



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 49: Metals/ Mining

Street excepts strong y-y growth mometum starting 4QFY26 and a strong two-year CAGR of 23% over FY26E-FY28E

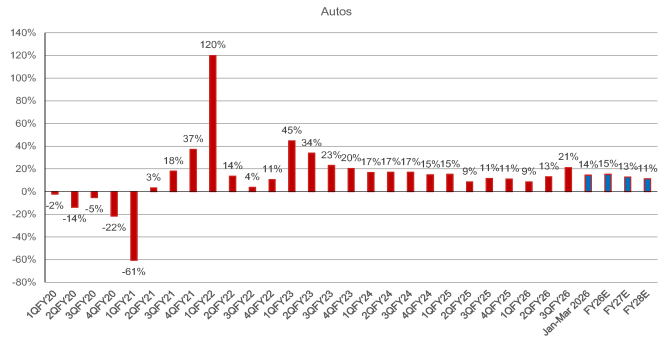


Source: Bloomberg L.P., Nomura Research

Sales growth trend: Growth in mid-single with the Street expecting acceleration in growth to high single-digit in FY27E

Fig. 50: Autos sales growth y-y%

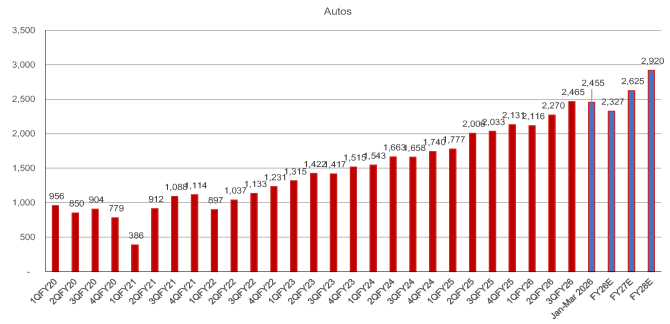
Sales growth inched up in Q3FY26 from lower teens level



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 51: Autos sales (INRbn)

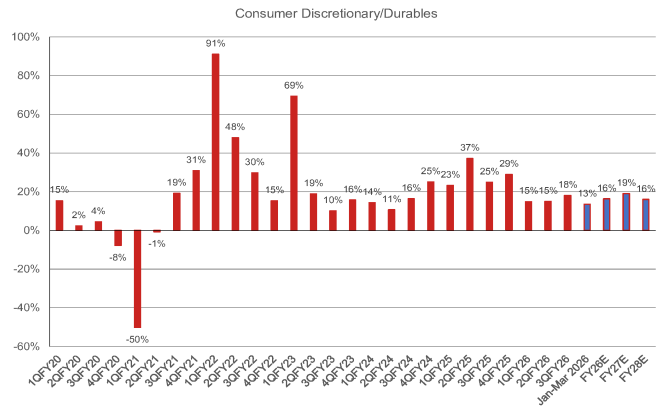
A slight moderation is expected in the sales over FY26-28E with a CAGR of 12% vs a 17% CAGR over the past three years in 4QFY26



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 52: Consumer discretionary/Durables sales growth y-y%

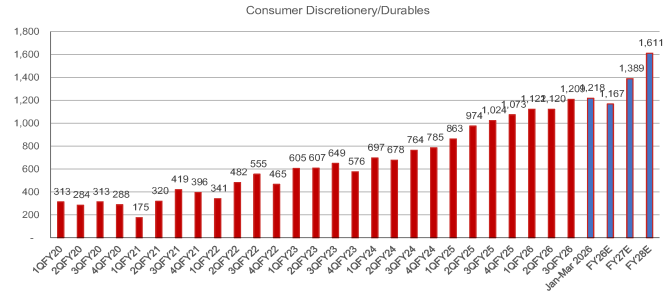
Strong growth in TTAN IN led sector growth



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 53: Consumer discretionary/Durables

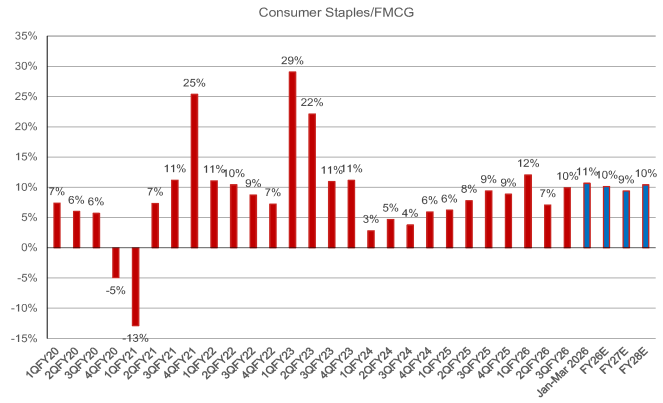
FY26-28E CAGR at 17%. The sector sales grew at a CAGR of 28% over 4QFY23 to 4QFY26E



Source: Bloomberg L.P., Nomura research

Fig. 54: Consumer staples/FMCG sales growth y-y%

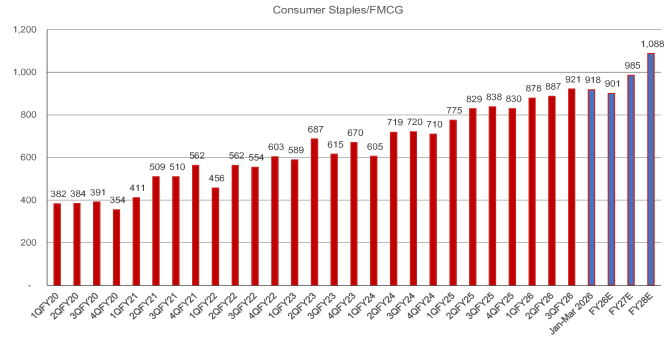
Y-y growth in FY26/27/28E expected to be in low double-digits



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 55: Consumer staples/FMCG sales (INRbn)

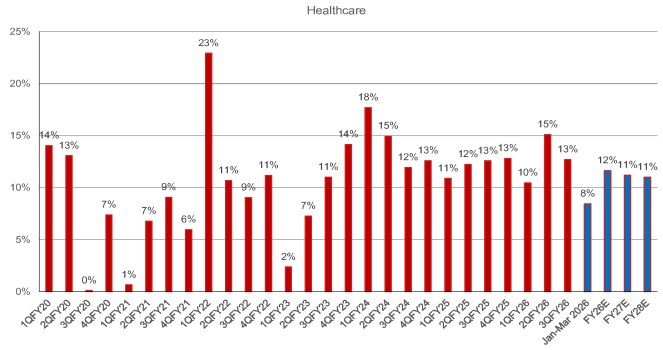
FY26-28E CAGR at 10% vs past two-year CAGR of 14% in 4QFY26, depicts a minor moderation in the sales growth



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 56: Healthcare sales growth y-y%

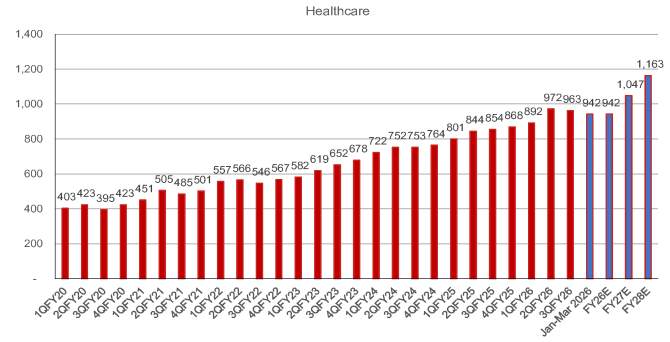
Y-y growth in FY26/27/28E expected to taper down to ~11% each likely due to underperformance in US



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 57: Healthcare sales (INRbn)

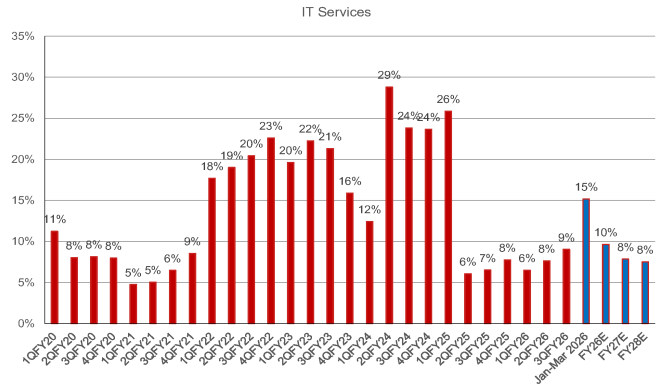
The Street expects the momentum to continue for FY26-FY28E to grow with a CAGR of 11% similar to the past two years sales growth performance



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 58: IT services sales growth y-y%

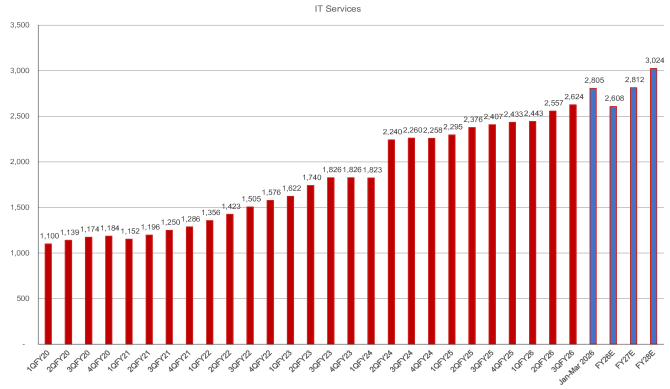
The Street expects revenue growth to be stable in FY26/27/28E



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 59: IT services sales (INRbn)

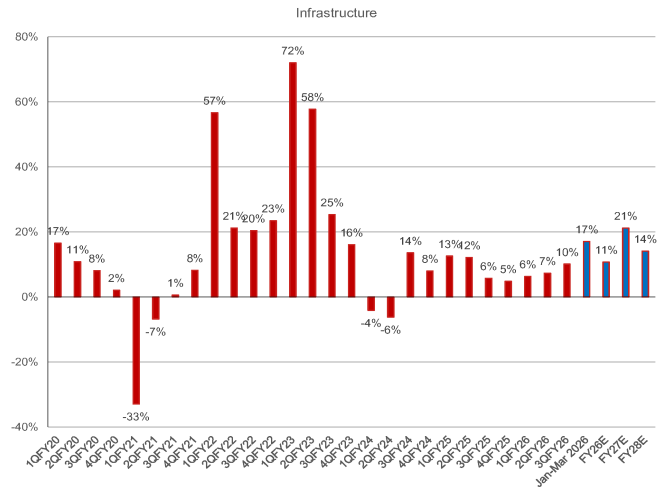
FY26-28E CAGR at 8% implies a cooling growth momentum vs. the past two-year sales growth CAGR of 11% in 4QFY26E



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 60: Infrastructure sales growth y-y%

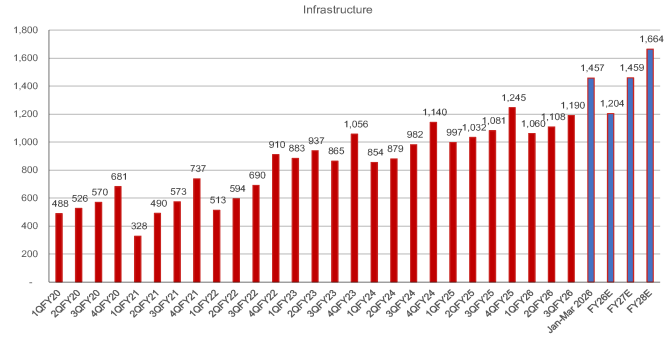
Infrastructure sales grew 10% in the quarter



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 61: Infrastructure sales (INRbn)

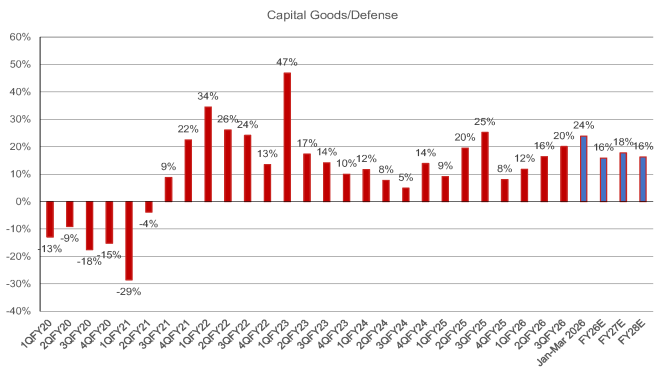
FY26-28E CAGR at 18%. FY28E growth pickup led by LT IN and ADE IN



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 62: Capital goods/Defense sales growth y-y%

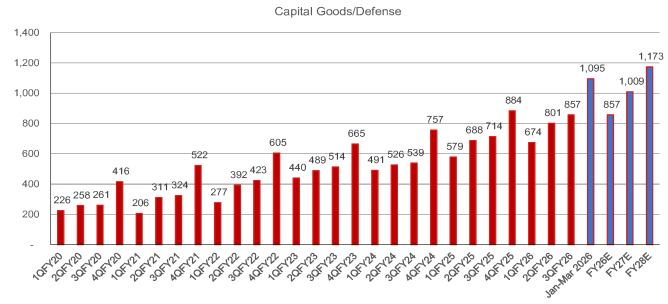
Sector yy growth expected to be in double-digits in FY27/28E



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 63: Capital goods/Defense sales (INRbn)

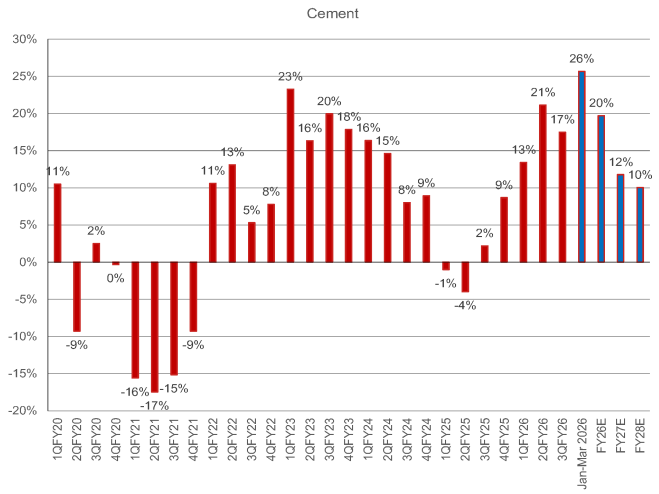
FY26-28E CAGR at 17%, driven by double-digit growth expectations in most of the stocks in the sector



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 64: Cement sales growth y-y%

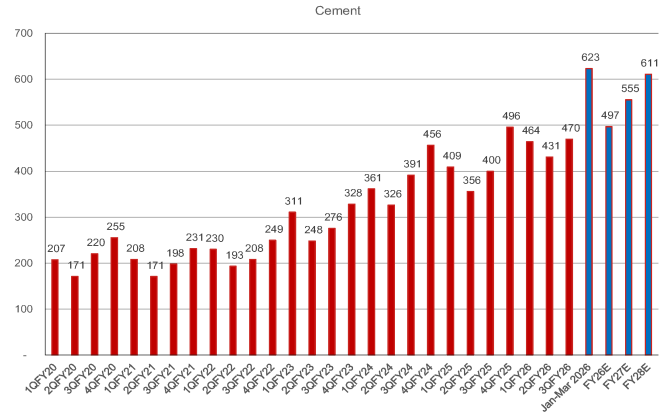
Y-y growth expected to grow by double-digits in FY27/28E, driven by a pickup in cement pricing along with strong volume growth on a low base



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 65: Cement sales (INRbn)

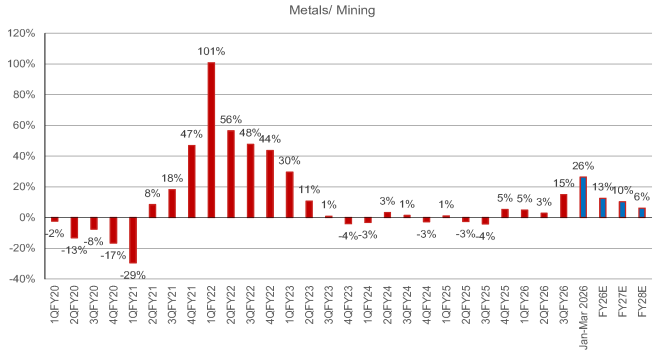
FY26-28E CAGR at 11%, driven by UTCEM, ACC and ACEM



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 66: Metals/ Mining sales growth y-y%

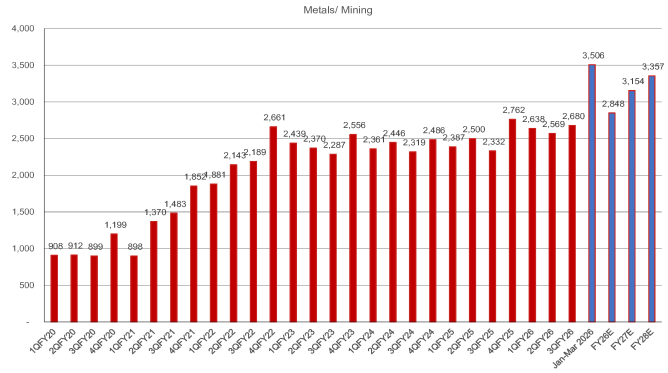
Recovery in sales growth continued in 3Q post a yy decline in 3QFY25



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 67: Metals/ Mining sales (INRbn)

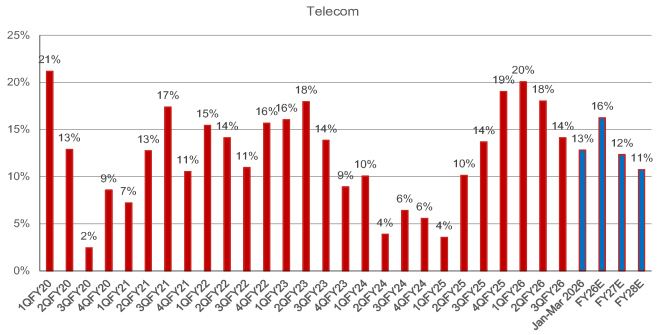
FY26-28E CAGR at 9% depicts a robust sales growth as compared to the past four-year CAGR growth of 7% in Q4FY26E



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 68: Telecom sales growth y-y%

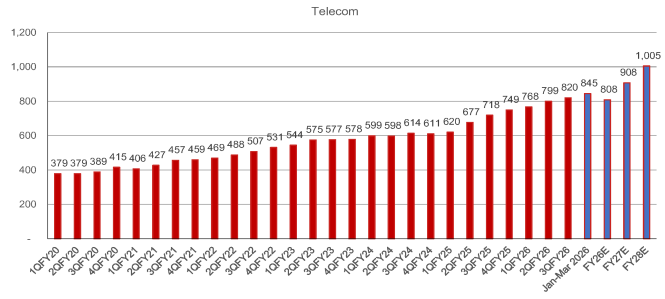
Telecom growth led by BHARTI IN



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 69: Telecom sales (INRbn)

The Street expects telecom sales to grow at a CAGR of 12% over FY26-28E

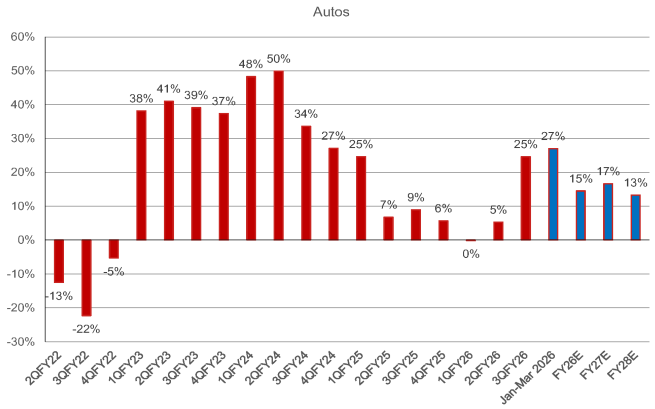


Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

EBITDA trend: growth and margin

Fig. 70: Autos EBITDA growth y-y%

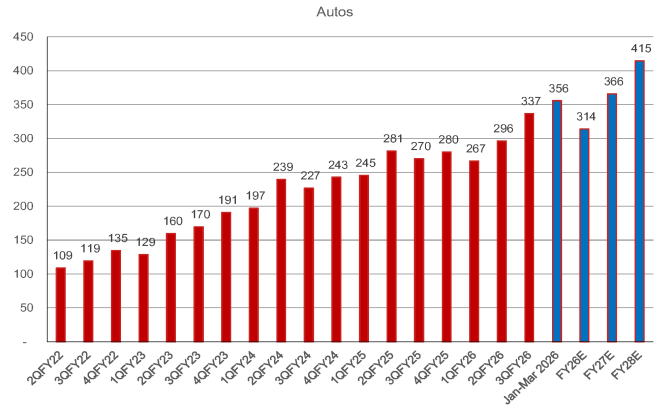
Sector EBITDA improved y-y in 3QFY26



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 71: Autos EBITDA (INRbn)

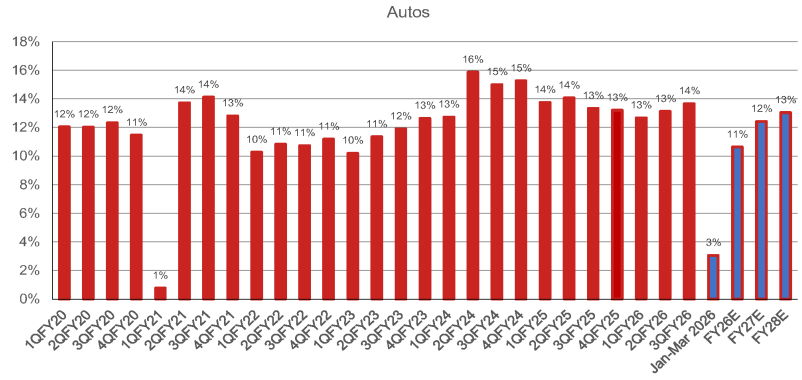
The Street expects FY26-28E CAGR at 15%, while the past two years recorded a CAGR of 21% in 4QFY26



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 72: Autos EBITDA margin

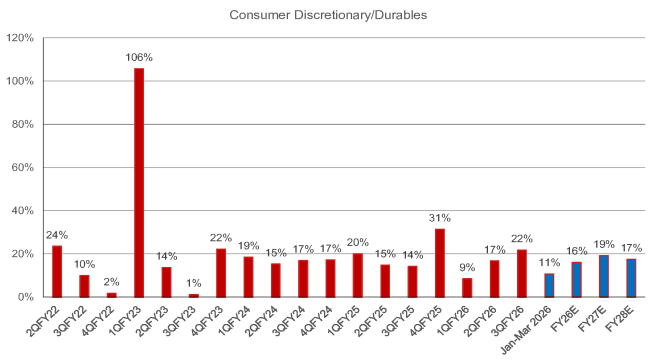
FY26/27E EBITDA margin expected to grow consistently



Source: Bloomberg Finance L.P., Nomura research

Fig. 73: Consumer discretionary/Durables EBITDA growth y-y%

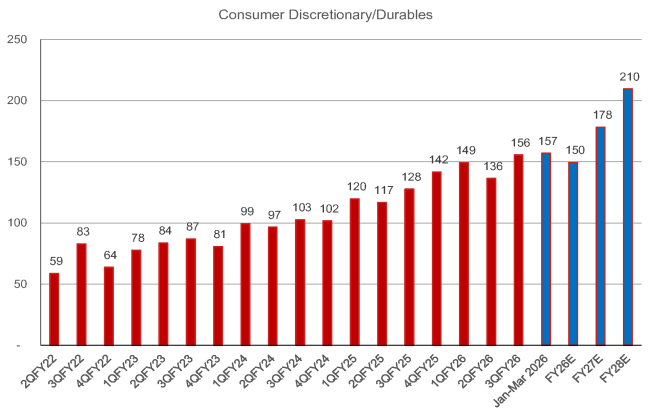
3QFY26 high EBITDA growth in stocks like TTAN IN, POLYCAB IN and TRENT IN, partially netted off by a decline in stocks like VOLT IN



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 74: Consumer discretionary/Durables EBITDA (INRbn)

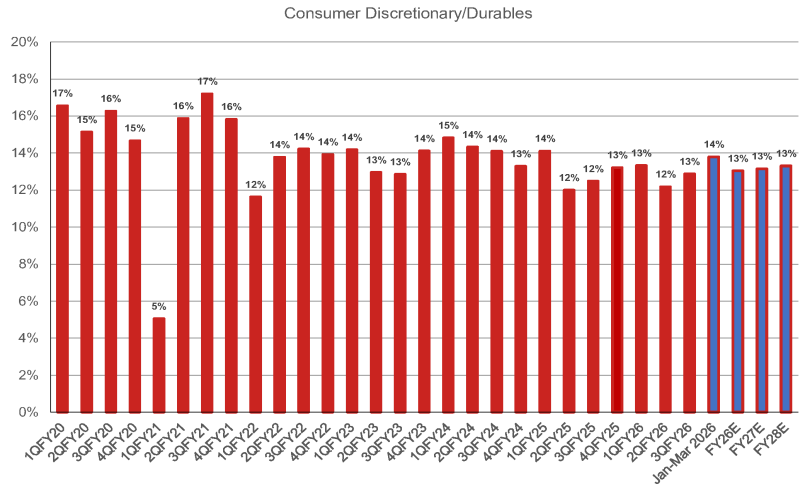
The growth momentum is expected to cool as the Street expects FY26-28E CAGR at 18% vs 24% CAGR over 4QFY24 to 4QFY26



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 75: Consumer discretionary EBITDA margin

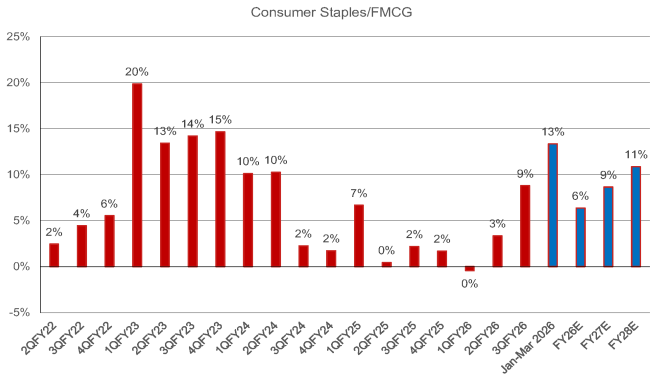
3QFY26 margins have held up, FY26/27E EBITDA margin expected to remain at similar levels to the quarter



Source: Bloomberg Finance L.P., Nomura research

Fig. 76: Consumer staples/FMCG EBITDA growth y-y%

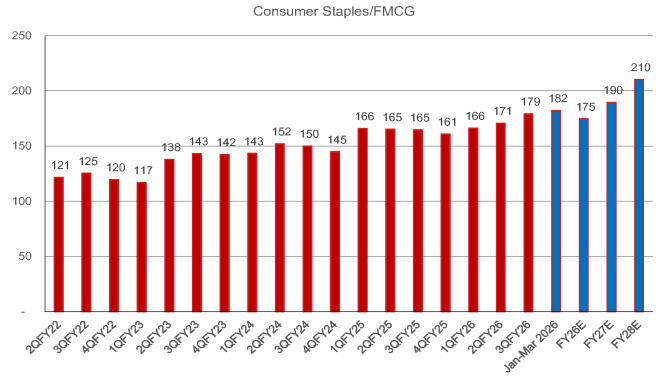
3QFY26 EBITDA improved yy and is expected to grow in FY27/28 as 3QFY26



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 77: Consumer staples/FMCG EBITDA (INRbn)

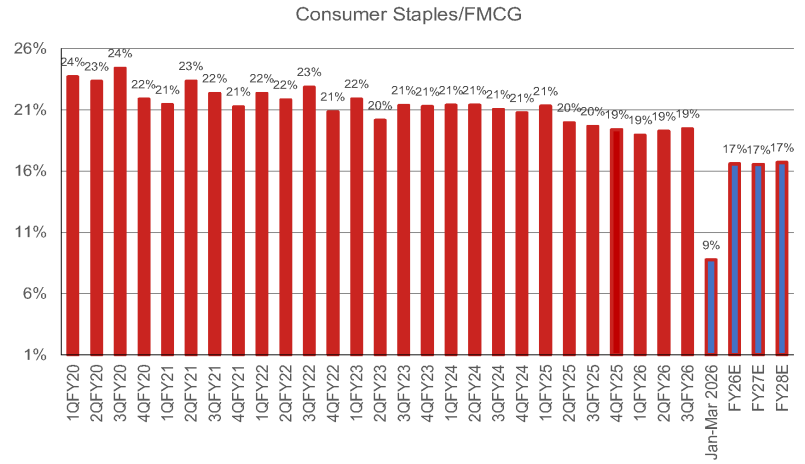
The Street expects a moderate FY26-28E CAGR of 10% vs a past two-year CAGR of 12% over the past two years over 4QFY24 to 4QFY26



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 78: Staples EBITDA margin

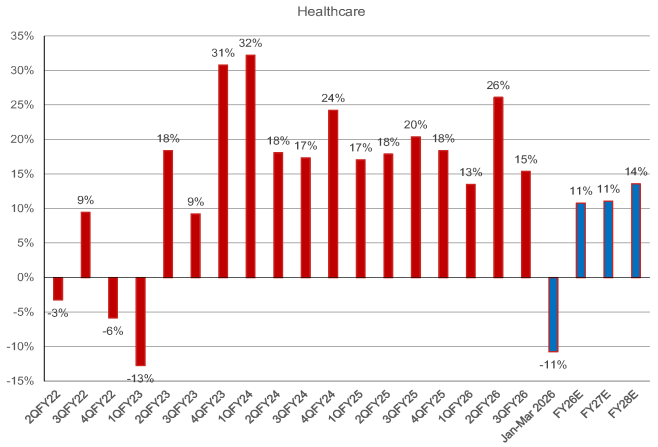
The Street expects a constant EBITDA margin in FY27/28 at around 17%



Source: Bloomberg Finance L.P., Nomura research

Fig. 79: Healthcare EBITDA growth y-y%

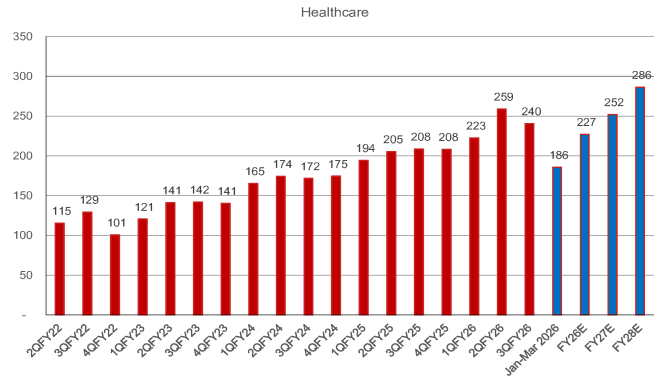
EBITDA growth expected to taper down in FY27/28E (decline in Revlimid sales)



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 80: Healthcare EBITDA (INRbn)

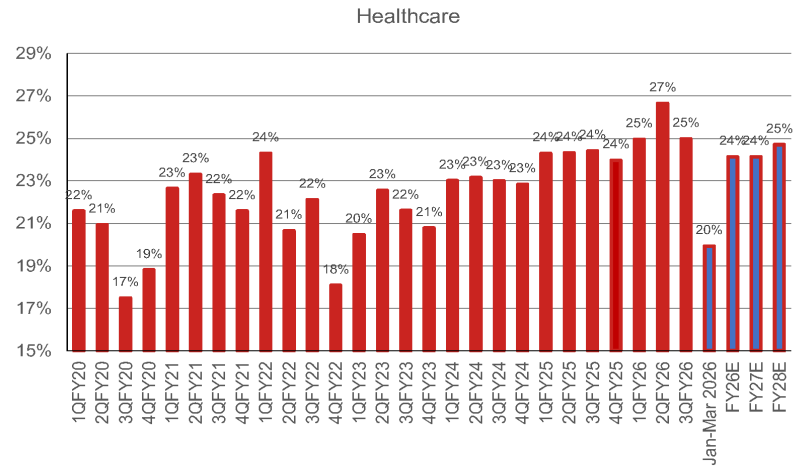
The Street expects a healthy FY26-28E CAGR of 12%, resulting in a recovery in the near future. The sector recorded a slow EBITDA CAGR of 3% over the past 2 years in 4QFY26E



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 81: Healthcare EBITDA margin

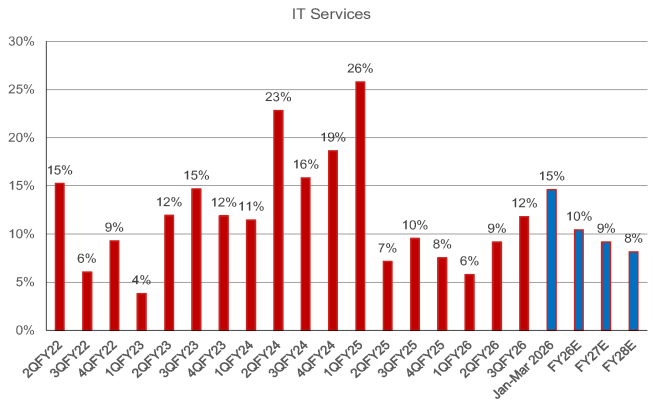
The Street expects FY27/28E to remain around the same levels as in 3Q



Source: Bloomberg L.P., Nomura Research

Fig. 82: IT services EBITDA growth y-y%

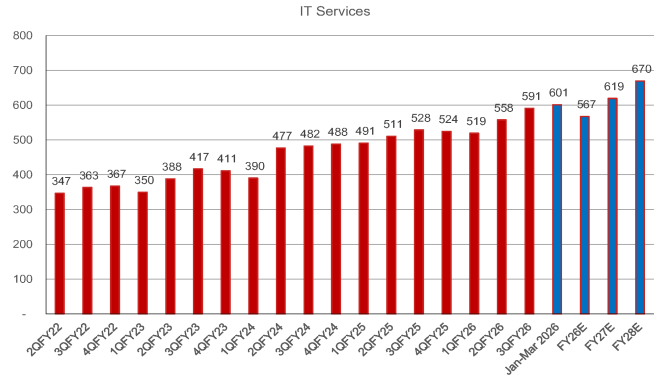
Sector EBITDA growth expected to remain at high single-digit in FY27/28E



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 83: IT services EBITDA (INRbn)

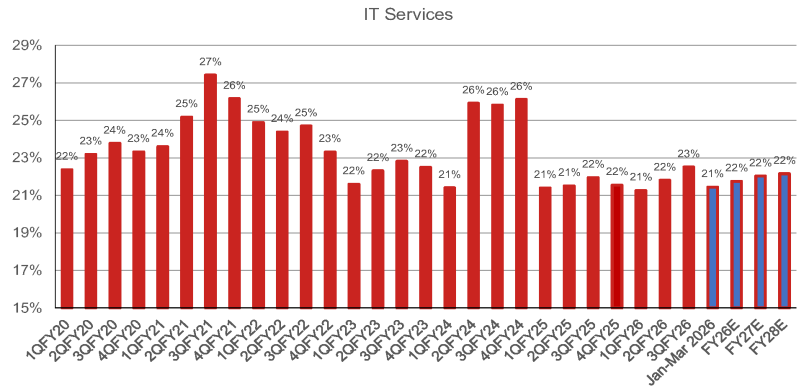
The Street expects a slightly lower FY26-28E CAGR of 9%, as compared to 11% CAGR over 4QFY24-4QFY26E



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 84: IT services EBITDA margin

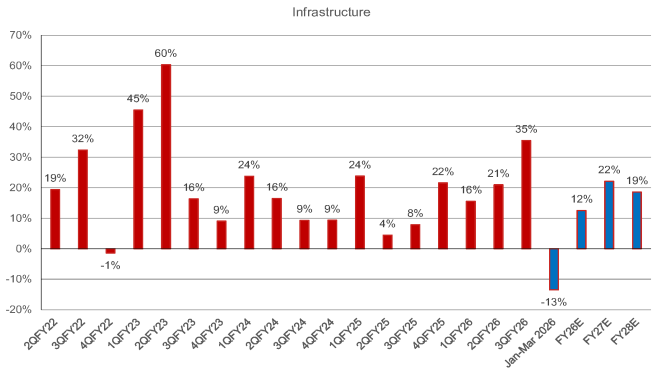
EBITDA margins expected to remain largely stable



Source: Bloomberg Finance L.P., Nomura research

Fig. 85: Infrastructure EBITDA growth y-y%

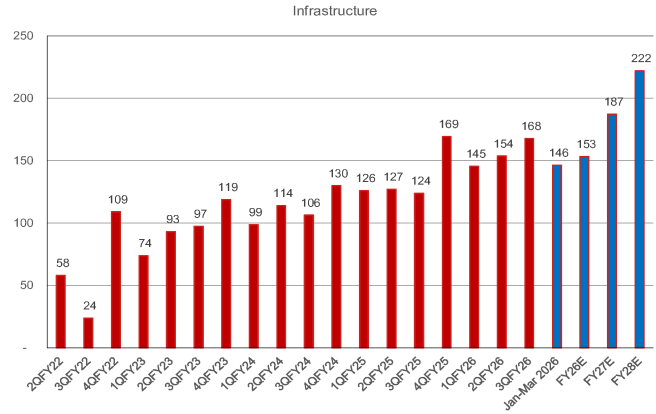
EBITDA growth in 3QFY26 led by high double-digit EBITDA growth in LT IN. LT IN expected to contribute to high EBITDA growth for the sector in FY28E



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 86: Infrastructure EBITDA (INRbn)

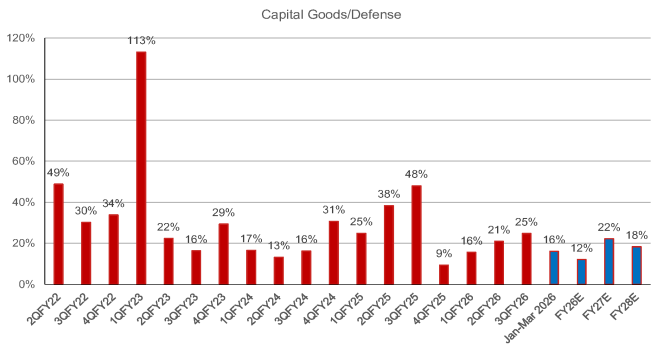
The Street expects a FY26-28E CAGR of 20%



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 87: Capital goods/Defense EBITDA growth y-y%

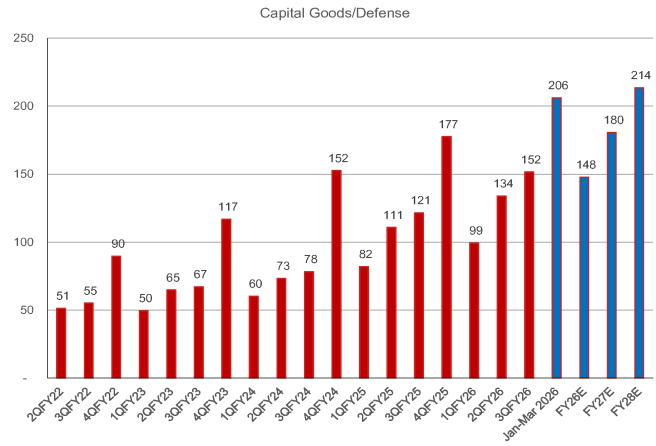
High EBITDA growth in FY27E to be led by BHEL IN, CGPOWER IN and POWERIND IN



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 88: Capital goods/Defense EBITDA (INRbn)

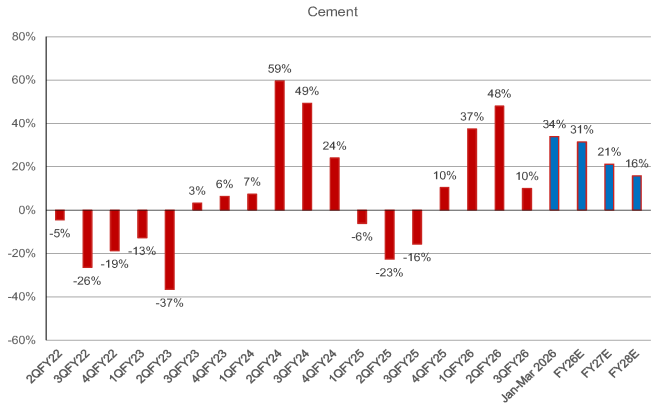
The Street expects the growth momentum to continue with FY26-28E CAGR of 20% with a similar three-year recorded CAGR of 21% in 4QFY26



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 89: Cement EBITDA growth y-y%

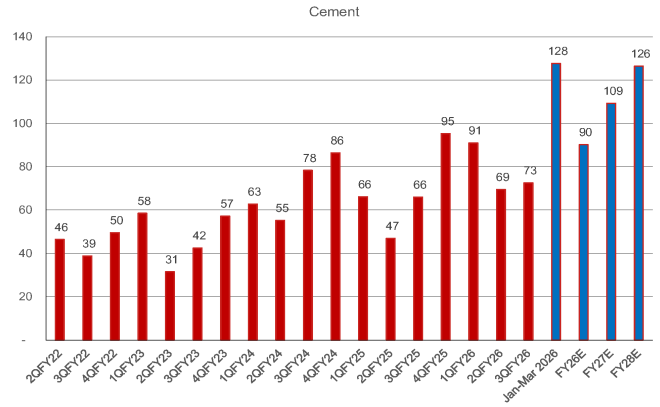
Cement EBITDA growth expected to grow by 21%/16% in FY27/28E supported by better pricing



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 90: Cement EBITDA (INRbn)

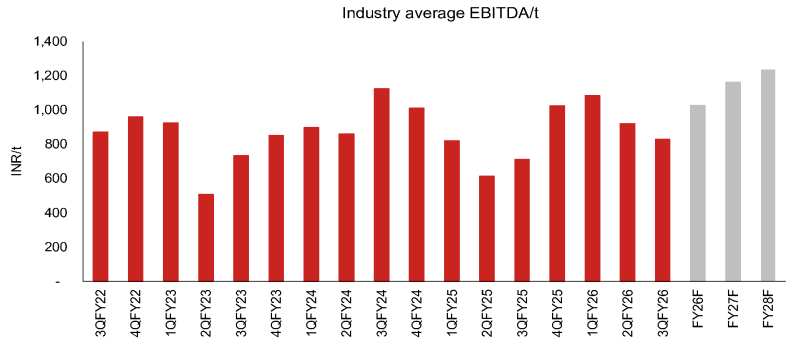
FY26-28E CAGR at 18%



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 91: Industry average EBITDA/t

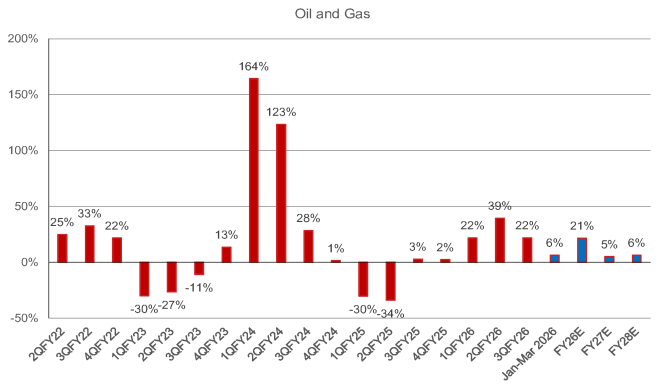
Industry EBITDA/ton expected to pick up from current levels in FY26/27/28E



Note: Industry for reported data includes Ultratech, Ambuja, Shree Cement, ACC, Dalmia Bharat, The Ramco Cement, Nuvoco, JK Cement, India Cement, JK Lakshmi, Birla Corp, Orient Cement, Sagar Cement, Heidelberg Cement. Forecast includes covered companies: Ultratech, Ambuja, Shree Cement, ACC, Dalmia Bharat, The Ramco Cement, Nuvoco
Source: Company data, Nomura research

Fig. 92: Oil and gas EBITDA growth y-y%

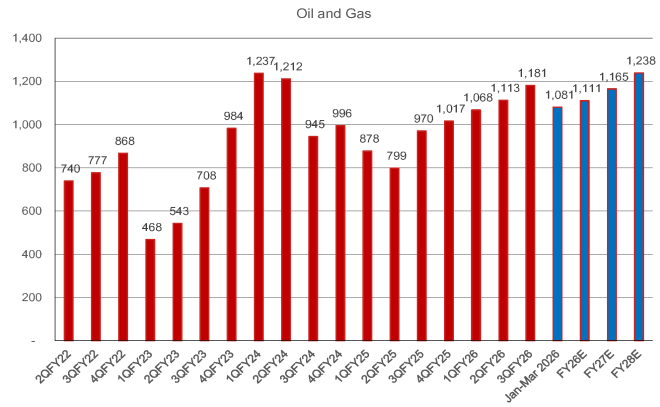
Oil and gas EBITDA margin y-y growth in 3QFY26 led by robust OMC performance



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 93: Oil and gas EBITDA (INRbn)

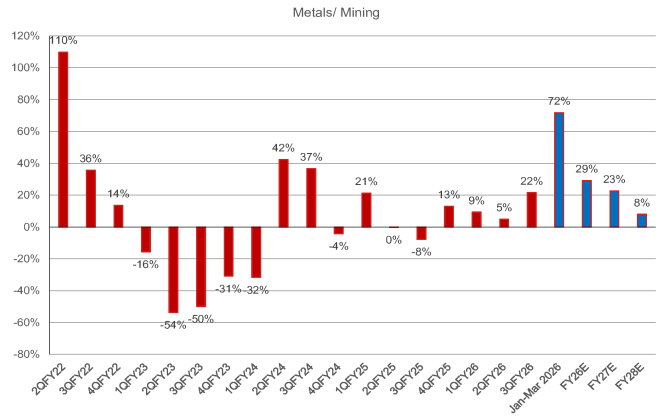
The Street expects a 6% yy- growth in 4QFY26 and a similar a 6% CAGR over FY26-28E



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 94: Metals/ Mining EBITDA growth y-y%

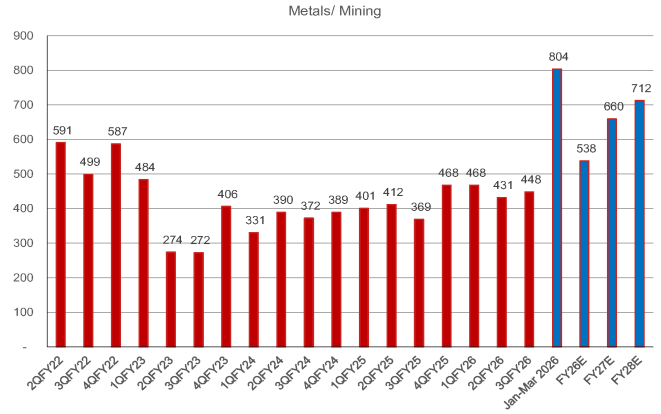
1QFY26 EBITDA yy growth was driven by TATA IN, VEDL IN and LLOYDSME IN



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 95: Metals/ Mining EBITDA (INRbn)

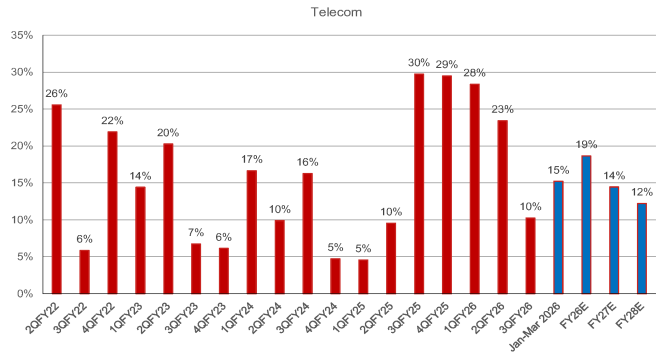
The Street expects FY26-28E CAGR at 15% with a strong y-y growth expectation for Q4FY26E due to better pricing



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Fig. 96: Telecom EBITDA growth y-y%

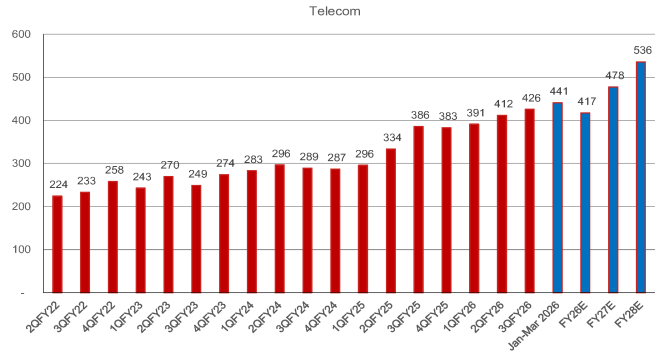
EBITDA growth in the sector led by BHARTI IN.



Note: Based on consensus estimates
Source: Bloomberg Finance L.P., Nomura research

Fig. 97: Telecom EBITDA (INRbn)

FY26-28E CAGR at 13% supported by steady ARPU growth and subscriber addition



Note: FY26E/27E/28E estimates are quarterly averages
Source: Bloomberg Finance L.P., Nomura research

Appendix A-1

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